

Kenindia Assurance Company Ltd v Kamithi and another

[2004] 2 EA 115 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of Judgment: 28 May 2004

Case Number: 94/04

Before: Omolo, Tunoi JJA and Ringera AJA

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Summarised by: A Mwanzia

[1] Insurance law – Material facts – Non-disclosure, concealment or misrepresentation thereof – Whether contract of insurance automatically avoided or voidable – Delay in repudiating – Whether insurer's right to avoid or repudiate vitiated.

[2] Insurance – Premiums – Life policy – Obligation to pay premiums – Waiver and estoppel – Whether payment of premiums on a life policy after death of insured could operate as a waiver and estoppel on the insurer.

Editor's Summary

The first respondent and her husband, Stephen Kamithi, took out a joint life assurance policy with appellant (Kenindia). In the proposal form, the first respondent and her husband stated that the husband did not have a usual medical attendant; that no illness, accident or medical condition had prevented the husband from carrying out his work due to such condition in the last five years and that no other life assurance was then in force over the deceased's life. The husband and wife were referred to two doctors by the appellant who, on examination, revealed that the husband had a heart condition. As a result of this relation, premiums payable were increased.

The appellant issued a joint life policy on the strength of the proposal form and declaration signed by the husband and wife for an assured sum of KShs 4 million. It was a term of the contract of insurance that if any untrue averment was contained in the proposal or declaration, the contract of insurance would be null and void and all monies which should have been paid in respect of the contract would stand forfeited to the appellant.

The husband passed away five months after entry into force of the contract of assurance and the wife notified the appellant. She also made a claim in her capacity as a beneficiary as well as an insured. The wife was interviewed and recorded a statement with the appellant's investigator. In the statement she disclosed that the deceased had a private doctor, who had referred the deceased to South Africa for medical treatment. She also disclosed that the deceased had previously been admitted to Nairobi Hospital with pneumonia for which he was treated and discharged. She further disclosed that the deceased had two other life policies with different insurers.

The appellant wrote to the first respondent that it had discovered gross non-disclosure of material facts on the proposal form and the claim therefore stood repudiated. The first respondent had continued to pay premiums after the deceased's death which amount was refunded by the appellant. No refund of the premiums paid up to the time of the demise of the deceased were paid. After the appellant declined to settle the claim, the first respondent and her son, the second respondent who had jointly obtained a grant of letters of administration to the estate of the deceased, filed a suit in the High Court for recovery of the sum assured.

The High Court found that there was the clearest evidence of non-disclosure of material facts by the deceased and that the appellant was entitled to repudiate the policy at the time it became aware of the true position regarding the information received from the deceased. The Judge further found that in the circumstances of this case, the appellant had, however, lost its right to repudiate the policy as it did not do so within a reasonable time of becoming aware of the non-disclosures and untruths but on the contrary continued to accept premiums from the first respondent. The Judge held for the plaintiffs and awarded them the sum of KShs 4 million.

The appellant Appealed to the Court of Appeal.

Held – Non-disclosure or concealment or misrepresentation of material facts did not have the effect of automatically voiding a contract of insurance, but its effect was to make the contract voidable at the instance of the insurer. If and when an insurer became possessed of all the facts entitling him to avoid or repudiate the policy for reason of non-disclosure, concealment or misrepresentation of material facts, he would be entitled to elect to avoid or affirm the contract at once, or to have a reasonable time to weigh his options. If he opted to delay his election, the delay per se would not have the effect of vitiating his right to avoid or repudiate the contract. The delay would only be prejudicial to his rights if it had prejudiced the assured or the rights of third parties who had intervened as a result thereof, or it was of such a length as to be evidence that the insurer had in truth decided to accept liability. *Allen v Robles* [1969] 1 WLR 1193; *South British Insurance Company Ltd v Samiullah* [1967] EA 659 considered.

The High Court had erred in finding that the appellant had lost its right to repudiate the policy when after learning of the concealed information it had failed to repudiate immediately. The appellant was entitled to a reasonable time to weigh his options and delay in doing so did not and could not lose him his right to repudiate.

Since the policy in question was a joint life policy, the obligation to pay premiums ceased on date of maturity or the death of the assured whichever came first. The obligation to pay premiums in the circumstances of this case ceased on 11 April 1999 when the deceased (one of the joint lives insured) died. In those circumstances the continuing cover under the policy came to an end and the premiums paid thereafter were inconsequential to the rights and obligations under the policy. Where there was no obligation to pay premiums, it can never be the case that payment thereof could operate as a waiver or an estoppel on the right to repudiate a policy obtained through non-disclosure, concealment or misrepresentation of material facts. A waiver and estoppel could only operate on a continuing policy.

Appeal allowed.

Editor's Note

This case has overturned the decision in *Kamithi v Kenindia Assurance Co* [2001] 2 EA 394.

Cases referred to in judgment

("A" means adopted; "AL" means allowed; "AP" means applied; "APP" means approved; "C" means considered; "D" means distinguished; "DA" means disapproved; "DT" means doubted; "E" means explained; "F" means followed; "O" means overruled)

East Africa

South British Insurance Company Ltd v Samiullah [1967] EA 659 – C

United Kingdom

Allen v Robles [1969] 1 WLR 1193 – C

Ayrey v British Legal and United Provident Assurance Co [1918] 1 KB 136 – C

Clough v London and North Western Railway Co [1871] LR 7 – C

Judgment

RINGERA AJA: This is an appeal by Kenindia Assurance Company Limited (the appellant) against the judgment of the High Court of Kenya whereby it was ordered to pay to Margaret Nduta Kamithi and George Njenga Kamithi, suing as personal representatives of the estate of Stephen Kamithi, (the respondents) the sum of KShs 4 million (four million) together with interest thereon from the date of filing suit until payment in full. The said sum of KShs 4 million was the value of a joint life assurance policy taken by the first respondent and her deceased husband Stephen Kamithi.

The brief facts of the matter as discernible from the record of appeal appear to be the following. By a proposal form for a life assurance policy dated 7 December 1998, Stephen Kamithi (the “deceased”) and Margaret Nduta Kamithi (the first respondent) jointly applied to the appellant for a policy of life assurance. It was an express term of the proposal that all statements and answers given by the deceased and the first respondent in the proposal were true, full and complete in every particular and that they had not withheld any information. The deceased and the first respondent further declared that the statements in the proposal and the declaration should be the basic of the contract of assurance between them on the one hand and the appellant on the other hand. The deceased and the first respondent agreed that if any untrue averment was contained in the proposal or declaration the contract of assurance should be null and void and all monies which should have been paid in respect of the contract should stand forfeited to the appellant. The deceased and the first respondent signed the proposal and declaration.

In the proposal the deceased and the first respondent stated with regard to the deceased, inter alia, that:

- (a) the deceased did not have a usual medical attendant;
- (b) no member of the family of the deceased, living or dead suffered from any hereditary disease (for example diabetes, stroke, mental disorder, heart disease, high blood pressure);
- (c) no illness, accident or medical condition had prevented the deceased from carrying out his work and that the deceased had not remained absent from his work due to such condition in the last five years;
- (d) no other life assurance was then in force over the deceased’s life.

On the basis of the information provided, the premium was fixed at KShs 37 259. The policy term was for 12 years. After completing that proposal form, the deceased and the first respondent were on the same day referred by the appellant to Dr JN Muiru for a medical examination. They were examined on 9 December 1998. They were also examined by a Dr Chege and X-rays were taken. The examinations revealed that the deceased had a heart condition. As a result of that revelation the premium was increased to KShs 44 925.

On the strength of the proposal and declaration and the subsequent medical examination, the appellant on 19 January 1999 issued a joint life insurance policy number 948694 on the lives of the deceased and the first respondent, effective from 7 December 1998 for an assured sum of KShs 4 million on the terms and conditions set out in the policy. The class of assurance was said to be a 12 year dynamic advantage plan with profits. The policy specification schedule also provided that the monthly premium would be KShs 44 925 payable by banker’s order until the stipulated date of last payment or previous death of the life assured. The stipulated date of last payment was 27 November 2010. It was an express term of the policy that the proposal from and

declaration were the basis of the insurance. Clause 4 of the conditions and privileges of the policy provided, inter alia that in case it should thereafter appear that any untrue or incorrect statement was contained in the proposal and declaration, or in any of the statements referred to therein, or that any material information had been withheld, then and in every such case the policy shall be void, and all claims to any benefits in virtue thereof shall cease and determine, and all moneys that had been paid in consequence thereof shall belong to the company. Concerned with the increased premium, the deceased and the first respondent visited the appellant's offices. They were advised by a Mr Njau and as a result of the advice received, they requested and were allowed to alter the plan and term of the policy from dynamic advantage, 12 years to multiple advantage, 15 years, and the monthly premium was reduced from KShs 44 925 to KShs 42 884. The dates of last payment and maturity were also changed to 7 November 2013 with effect from 7 March 1999. That endorsement to the policy was made on 10 March 1999.

The deceased passed away on 11 April 1999. His death was notified to the appellant via a letter dated 1 May 1999 under the hand of the first respondent. In the letter the first respondent also put up a claim in her capacity as a beneficiary as well as an insured. A death certificate was attached. On 18 June 1999, the first respondent was interviewed by, and recorded a statement with, the appellant's investigator. In the statement, she disclosed that the deceased had a private doctor, a Dr Gikonyo, who in 1996 had referred the deceased to South Africa for medical treatment. During the sojourn of two weeks, the deceased was given a heart by-pass-operation. She also disclosed that in 1995 he had been admitted to Nairobi Hospital with pneumonia for which he was treated and discharged. She further disclosed that the deceased had two other life policies with Alico whose numbers were 4146073 and 3577837 which policies had already been settled.

On 9 August 1999, the appellant wrote to the first respondent to the effect that following its investigations into the genuineness of the claim, it had been found that there was gross non disclosure of material facts on the proposal from signed and dated 7 December 1998 and, in the circumstances, the claim stood repudiated. It would also appear that despite the death of the deceased, premiums continued to be paid on the policy by banker's order until the first respondent instructed their bank to stop. On 5 November 1999, the appellant refunded to the first respondent a sum of KShs 257 442 being the amount erroneously received after the death of the assured. No refund of the premiums paid up to the time of the demise of the deceased was paid. After the appellant declined to settle the claim by the first respondent the first respondent and her son, the second respondent, who had jointly obtained a grant of letters of administration to the estate of the deceased, filed a suit in the High Court for recovery of the sum assured.

After hearing the evidence adduced by the respondents (the appellant elected not to call any evidence) and the submissions made by the respective parties' advocates, Mbaluto J, in a reserved judgment, found there was the clearest evidence of non-disclosure of material facts by the deceased in that the answers to the questions in the proposal from on whether the deceased had a usual medical attendant, whether he had other policies in force, whether he had any hereditary disease, and whether he had been prevented from carrying out his work by illness,

accident or medical condition had all been untrue or incorrect. In that regard, the Learned Judge found that the first respondent had in her evidence admitted that the deceased used to be treated by Dr Gikonyo who had been his doctor since 1990, that he had a heart disease and was off duty for three weeks when he went to South Africa for a heart operation, and that at the time of completing the proposal form, the deceased had other life policies with Alico Kenya Limited and Mercantile Life and General Assurance Company Limited. The Learned Judge further found that by reason of non-disclosure of material facts the appellant was entitled to repudiate the policy at the time it became aware of the true position regarding the information it had received from the deceased and the first respondent. The Judge further found that in the circumstances of this case the appellant had, however, lost its right to repudiate the policy as it did not do so within a reasonable time of becoming aware of the non-disclosures and untruths but on the contrary continued to accept premiums from the first respondent. As regards continued acceptance of premiums after the demise of the deceased, the Learned Judge reasoned as follows:

“The deceased died on 11 April 1999 and the death was reported to the defendants on 1 May 1999. From that date up to 5 November 1999, the defendant continued to accept the monthly premium of KShs 42 884 on the joint policy without raising any query on the matter. In his submissions, Mr Fraser for the defendant said that the premiums were accepted because they were being paid through a banker’s order which the first plaintiff had failed to stop upon the death of the deceased. However, I am unable to see what would have obliged the first plaintiff to stop payments of the premiums prior to the receipt of communication from the defendant of its intention to repudiate the policy and particularly when the defendant was all the while, accepting the payments without complaint. In any case, the defendant having tendered no evidence whatsoever in this matter regarding that or indeed any other issue, there is nothing to support what Mr Fraser says”.

As regards failure to repudiate the policy within a reasonable time after being aware of material non-disclosures, the Learned Judge reasoned as follows:

“The defendant had a right to repudiate the policy upon the discovery of non disclosure of material facts by the deceased. Accordingly, although the evidence is not very clear when the defendant first became aware of the matter, at the very latest it knew by 18 June 1999 that the answer to the question regarding other life policies was untrue and that it had the right to repudiate the policy. In my opinion therefore, the defendant lost the right to avoid the policy by accepting further premiums on the policy from that moment”.

In reaching those conclusions, the Learned Judge relied heavily on the following passage in the Law of Insurance by Raoul Colinvaux (5 ed) 1984 paragraph 5-02:

“The duty to disclose is not an implied term of the contract itself. Unlike fraud or a breach of condition, non-disclosure never by itself gives rise to a claim for damages. Avoidance of the

whole contract is the only remedy. Once the aggrieved party (i) knows all the facts, and (ii) has had a reasonable time in which to make up his mind, he must make his election once and for all. He need not exercise it, however, until he knows all the facts; being put on inquiry is not sufficient. Thus where, although the assured has suppressed or misrepresented a fact he discloses it to the insurance office before they pay a claim, they cannot after payment recover back the money. Similarly where the insurers receive notice that the risks insured against have been misrepresented, concealed or incompletely disclosed and accept further premiums on the same policy, they lose their right to avoid it”.

In those premises, the Learned Judge held for the plaintiffs and awarded them the sum of KShs 4 million with interest thereon from the date of filing suit until payment in full.

In the course of his judgment, the Learned Judge also dealt at length on the evidential status of two documents marked as “MFIA” and “MFIB” which had been introduced on record on the basis that they were referred to in the appellant’s notice to the respondents to admit documents but which were not formally produced by the appellant at the trial. The Judge found the said documents were not evidence in the case. As decision in this appeal does not turn on the Judge’s finding with regard to whether or not the said documents were evidence in the trial, no more will be said of them and the ground(s) of appeal pertinent thereto will not be considered.

From the above judgment, the appellant has preferred this appeal on the grounds that:

(i) the Judge erred in holding that the appellant was only entitled to repudiate the policy at the moment in time the appellant becomes aware of the true position;

(ii) the Judge erred in holding that the appellant did not repudiate within a reasonable time and thereby lost the right to repudiate;

(iii) the Judge erred in holding that the appellant lost the right to repudiate or avoid the policy on 18 June 1999;

(iv) the continuing cover under the policy came to an end on the death of the first of the deceased or the first respondent, (sic). Therefore no premiums were payable after the death of the deceased. In the circumstance the receipt of premiums paid by banker’s order after the death could not amount to a waiver or an estoppel on the right to repudiate;

(v) the Judge erred in holding that payments made by banker’s order in the appellant’s account could constitute a waiver or estoppel;

(vi) the Judge erred in holding that there was no evidence that the premiums were paid by the first respondent by banker’s order and continued until the first respondent stopped the banker’s order; and

(vii) the Judge erred in holding that the respondents were entitled to judgment in the sum of KShs 4 000 000 with interest thereon from the date of filing suit until payment in full.

For their part, the respondents availed themselves of the procedural latitude conferred by rule 91 of the Court's Rules and filed a notice of grounds for affirming the decision of the superior court on grounds other than those relied upon by the said court. Those grounds were:

(i) that the appellant having prior to the issuance of the subject policy subjected the deceased to a medical examination by its own nominated doctors and having accepted loaded premiums thereto for five months before the subjects death is therefore precluded by estoppel and/or waiver from repudiating the claim/policy; and

(ii) adverse inference ought to be drawn against the appellant for its failure to call material witnesses namely the said doctors and its underwriters to support its averments.

Mr Fraser, who represented the appellant in this appeal, as he did in the superior court, argued that in law the appellant was not obliged to repudiate the policy upon discovering the non-disclosures or misrepresentations by the assured and, accordingly, it was under no obligation to do so within a reasonable time. The assured had a choice to make. In that regard, he referred to Colivaux's Law of Insurance (*supra*), paragraph 5-02 where it is stated:

"Where the assured conceals something he knows to be material such concealment is fraud. But in any case the effect of mere non-disclosure on an insurance contract is to some extent the same as with the effect of fraud. The party aggrieved, when the matter comes to his knowledge, may choose either to carry on with the contract or not. It is voidable at the election of the aggrieved party, as opposed to that class of contract which is void by operation of law".

In further support of his submissions, counsel cited the English Court of Appeal decision in *Allen v Robles* [1969] 1 WLR 1193, at page 1196 letters E-H where the Court cited with approval the following passage from *Clough v London and Northwestern Railway Company* [1871] LR 7 Exch 26 at 34:

"We agree with what seems to be the opinion of all the Judges below, that if it can be shown that the (insurers) have at any time after knowledge of the fraud, either by express or by unequivocal acts, affirmed the contract, their election has been determined forever. But we differ from them in this, that we think the party defrauded may keep the question open as long as he does nothing to affirm the contract".

The English Court of Appeal then proceeded to express the view that if the insurer discovered that there was a claim and that the insured was in breach of a condition, they were in a position to elect either by refusing to indemnify; or to accept a liability or indemnity; or it was open for them to delay their decision. In the later regard, the Court

stated that mere lapse of time would not lose them their right to decide to refuse to indemnify; the lapse of time would only operate against them if thereby there was prejudice to the insured or if in some way rights of third parties had intervened or if the delay in itself was of such a length as to be evidence that they had in truth decided to accept liability.

Counsel also relied on Mac Gillivray on Insurance Law (9 ed) 1997 paragraph 17-27 where it is posited:

“If the assured has failed in his duty of making full disclosure, the insurer may, on discovering the full facts, elect to avoid the contract of insurance, and he may do so either before or after the loss has occurred. The contract cannot therefore be said to be automatically avoided by non-disclosure; it remains in force until avoided by the insurer ... unless there has been wilful or fraudulent concealment on the part of the assured, the premiums paid are returnable”.

As regards the effect of the retention of premiums paid before the death of Mr Kamithi and the receipt of further premiums after his death and even after discovery of the non-disclosure and misrepresentations, Mr Fraser argued with regard to the former that they were not refundable as the insurance was at risk on the life of Mrs Kamithi and both the proposal form and the policy itself made it clear that in the event of non-disclosure or misrepresentation of material facts the premiums paid would be forfeited to the insurer. With respect to receipt of premiums after death and discovery of non-disclosure, he argued that the evidence from Mrs Kamithi showed that payments thereof was by banker's cheque and they continued until she stopped the payments. He contended that such payments were in any event inconsequential as the life of the policy came to an end with the death of one of the assured and, accordingly, no premiums were payable thereafter and the insurer could not be estopped from repudiating the policy on the basis that it had accepted premiums which were not payable.

He argued that it was only in the case of an ongoing policy where acceptance of premiums after knowledge of facts giving rise to right to repudiate could possibly stop the insurer from repudiating. Counsel also invoked Spencer Bower and Turner's The Law Relating to Estoppel by Representation (3 ed) 1977 on pertinent principles concerning estoppel and waiver. At paragraph 310, the law is stated as follows.

“The doctrine of election as applicable in the law of estoppel may be summarised as follows: where A, dealing with B, is confronted with two alternative and mutually exclusive courses of action in relation to such dealings, between which he may make his election, and A so conducts himself as reasonable to induce B to believe that he is intending definitely to adopt the one course, and definitely to reject or relinquish the other, and B in such belief alters his position to his detriment, A is precluded, as against B, from afterwards resorting to the course which he has thus deliberately declared his intention of rejecting”.

Mr Muturi Kigano, too, argued for the respondent in this Court, as he did in the superior court. His principal contention was that although the deceased might have lied in the proposal form, the appellant immediately become aware of the fact that the deceased had a heart condition and that he had a usual medical attendant in the name of Dr Gikonyo as a result of the medical examination and inquiry carried out by Dr Muiru on the instructions of the appellant and, consequently, when the appellant accepted the premiums and subsequently loaded them to KShs 44 000 and later to KShs 42 884 it waived its rights to subsequently repudiate the policy on the basis of the statements in the proposal form. In counsel's view, a new contract of insurance constituted by the proposal as varied by the subsequent medical examination and the acceptance of premiums was created. Counsel emphasised that the appellant accepted premiums for four months before the death of Mr Kimithi and that those premiums were not returned. Counsel relied on the following passages from Halsbury's Laws of England (4 ed) Volume 25:

Paragraph 440

"If what is relied on as a waiver is conduct after a breach has occurred, the conduct must be such as to indicate an intention to treat the contract as still subsisting. There can be no waiver unless the insurers have full knowledge of the material circumstances".

Paragraph 422

"The dividing line between estoppel and waiver is so fine as to be in many cases almost indistinguishable. In theory a waiver of a contractual right is something contractual involving agreement express or implied, between the parties; estoppel, however, is merely a rule of evidence or law by which a party is precluded from asserting the existence of a fact, including a right. Therefore, conduct by the insurers making performance of a condition either impossible or unnecessary can be set up as a waiver if there is the requisite assent to or consideration for it. Alternatively, the same conduct can be relied on as an estoppel if it has induced the assured to believe that the condition need not be performed or that accrued rights are not going to be enforced, and to act accordingly. However, if it follows a breach of a condition, the conduct must be such as to lead the assured to the belief that the contract is being treated by the insurers as valid notwithstanding the breach, as where they accept a renewal premium or do or demand something without any justification except the policy. There must, however be a reliance on the part of the assured on the representation as to the continued validity of the policy imparted by the insurer's conduct and a consequential alteration in his position. Unless the assured is misled, there is no estoppel".

Counsel submitted on the basis of the foregoing that in this case, the insurer was aware of all material circumstances when it issued the policy after receiving the medical report and that the insured was induced to believe the policy was in force. He invoked the passage previously cited from Colinaux's Law of Insurance (*supra*) that where the insurer receives notice that the risks insured against have been misrepresented concealed or incompletely disclosed and accept further

premiums on the same policy, they lose their right to avoid it. Counsel also relied on the following passage from Chitty on Contracts (27 ed) Volume II at page 904:

“Non-disclosure or misrepresentation makes the contract voidable, not void, so that the aggrieved party has an election whether or not to avoid the contract. Once the aggrieved party knows all the facts, he should inform the other party within a reasonable time if he elects to avoid the contract, for otherwise his subsequent conduct may be taken to be either an affirmation of the contract, or as leading the other party to suppose that the contract is being affirmed and causing him to act accordingly. Thus where the aggrieved party does some act which is inconsistent with an intention to avoid the contract, such as paying a claim, or accepting further premiums after knowledge of a non-disclosure or misrepresentation, the right to avoid the contract will be lost. However, the right will not be lost unless the aggrieved party does know all the facts; being put on inquiry is not sufficient. Once the aggrieved party has made his election, it is irrevocable”.

Reference was also made to the decision of the East Africa Court of Appeal in *South British Insurance Company Ltd v Samiullah* [1967] EA 659, where it was held that when an insurer came to know that an insured had concealed a material fact when obtaining a policy, he was entitled from that moment or within a reasonable time thereafter to repudiate and should have repudiated the policy. And in *Ayrey v British Legal and United Provident Assurance Co* [1918] 1 KB 136, it was held that the acceptance of premiums by the agent of the insurer with full knowledge that there had been a non-disclosure of material facts was a waiver by the company of the breach of the clause in the proposal form entitling it to avoid the policy for such non-disclosure.

In concluding his arguments, Mr Kigano submitted that on the facts the insurer waived its right to repudiate the policy, compensated itself for the higher risk by loading the policy, and led the assured to believe that a valid policy of insurance had been entered into. All that, in his view, lent substance to ground (1) of the notice of grounds for affirming the superior court’s decision. Counsel further submitted that even if grounds for repudiating the policy existed, it was incumbent on the appellant to prove them through its own witnesses and as it had failed to call any evidence, the Court inferred that such evidence would have been adverse to the appellant. All in all, he asked for the dismissal of the appeal with costs here and below.

In a brief reply, Mr Fraser pointed out that according to the evidence of the first respondent, the loading of the policy was due to the discovery that the deceased had previously had a heart operation. In response to the point that the appellant knew of the non-disclosure of material facts when it accepted the premiums, counsel argued that the appellant did not know of the other lies until after the death of the deceased. Such lies included the fact that he had been hospitalised for pneumonia, that he had a usual medical attendant, and that he had other life insurances. In his view, if one was caught on one lie, it did not follow that all the other lies had been forgiven. He emphasised that the repudiation of the policy was on things other than the deceased’s medical

condition relating to the heart. As regards the facts that Mr Maingi PW2, (who filled in all the answers in the proposal form) knew that the deceased had Dr Gikonyo for his regular doctor and that he had other life policies with Alico, Mr Fraser submitted that according to the evidence of Mr Maingi himself he was Mr Kamithi's insurance agent and referred to Mr Kamithi as his client and, accordingly, his knowledge could not be imputed to the company and even the Learned Judge below had not made such an imputation.

Having considered the grounds of appeal, the grounds for affirming the decision of the superior court, and the arguments canvassed by the advocates for the parties, the following view commends itself to me. Grounds (1), (2) and (3) of appeal raise the issue of the effect of non-disclosure or concealment of material facts on the contract of insurance and the time frame, if any, within which the insurer may exercise its right to repudiate or avoid the policy by reason of non-disclosure or misrepresentation or concealment of material facts. On the authority of the passage here before cited from Chitty on Contracts, Mac Gillivray on Insurance Law and Colinvau's Law of Insurance it is evident that the position in law is that non-disclosure or concealment or misrepresentation of material facts does not have the effect of automatically avoiding a contract of insurance. Its effect is to make the contract voidable at the instance of the insurer. As regards when the option should be exercised, the textbooks and judicial authorities apparently express different views. In Colinvau it is stated that once the insurer knows all the facts (as opposed to merely being put on inquiry) and had had a reasonable time in which to make up his mind, he must make his election once and for all. In Chitty it is said that once the insurer knows all the facts he should inform the assured within a reasonable time if he elects to avoid the contract. From those two works, the impression one gets is not that it is incumbent on the insurer who has known the full facts to elect to avoid the contract at once or within a reasonable time thereafter but that he is entitled to a reasonable time in which to make up his mind either way and he should communicate such decision to the assured. Be that as it may, in *South British Insurance Company Ltd v Samiullah* (supra) Law JA with whom the other member of the East African Court of Appeal concurred, took the view that from the moment the insurer became aware of the facts entitling it to repudiate within a reasonable time thereafter, it could and should have repudiated the policy. The editor of the law report in holding (ii) puts the matter somewhat differently by positing, "from that moment, or a reasonable time thereafter, the appellant should have repudiated the policy." I think the editor's note is a misrepresentation of the view of the Judge. In my opinion, the ratio of the case is that the insurer was entitled on discovery of non-disclosure or concealment to repudiate the contract at once or within a reasonable time thereafter. The decision does not purport to deprive the insurer of his right to elect to avoid or affirm the policy. In *Allen v Robles* and another (supra), the English Court of Appeal decided that an insurer who had discovered non-disclosure, or misrepresentation of material facts had three choices. It could elect either (i) to refuse to indemnify, or (ii) to accept liability to indemnify, or (iii) to elect to delay the decision. The Court said that if the option of delay was adopted, the mere lapse of time would not lose them their right to decide to indemnify; lapse of time would only operate against them if thereby there was prejudice or if in some way

rights of third parties had intervened or if the delay in itself was of such a length as to be evidence that they had in truth decided to accept liability. In my judgment what the authorities established is this; if and when the insurer becomes possessed of all the facts entitling him to avoid or repudiate the policy for the reason of non disclosure, concealment or misrepresentation of material facts, he is entitled to elect to avoid or affirm the contract at once or to have a reasonable time to weigh his potions. If the opts to delay his election, the delay per se will not have the effect of vitiating his right to avoid or repudiate the contract. Delay would only be prejudicial to his rights if it has prejudiced the assured, or the rights of third parties had intervened as a result thereof, or it was of such a length as to be evidence that the insurer had in truth decided to accept liability.

How do those principles apply in the circumstances of this case? In my judgment, Mbaluto J was in error to find and hold that the appellant having, at least on 18 June 1999, known that the deceased had concealed information about the existence of other life policies and that the insurer was, accordingly, entitled to repudiate the policy, it should have done so from that moment or within a reasonable time thereafter failing which he lost his right to repudiate. As seen above, the insurer was entitled to a reasonable time to weigh his options and delay in doing so did not and could not, without more, lose him his right to repudiate. And in this case, there was no more to the delay as it was not contended and it had not been shown that the insured was prejudiced thereby or that the rights of third parties had intervened, and, as will shortly be clear, the delay could not in the circumstances of this case have amounted to an affirmation of the contract. In the premises grounds (1), (2) and (3) of the appeal succeed.

As regards the effect of continued receipt of premiums after 18 June 1999, I think it is best to deal with ground 6 of the appeal first. It will be recalled that the purport of that ground was that the Judge was in error in holding that there was no evidence that the premiums were paid by the first respondent and continued to be paid until the first respondent stopped them. Now from the proposal form itself and the policy both of which were exhibited, it was clear that monthly premiums were to be paid by way of banker's order. And Mrs Kamithi, the first respondent, testified that such was the mode of payment and the payments continued until she put a stop to them. In those circumstances, the Judge was plainly in error in his finding that there was no evidence that the premiums were paid by banker's order and continued until stopped by the first respondent. In that connection, it should be stated that credible and admissible evidence once adduced in a trial is not appropriated to any party and may be relied upon by any party to the proceedings. The next matter for consideration is the effect, if any, of the acceptance of those premiums from 18 June 1999 until November 1999 when a refund thereof was made to the first respondent. Mr Fraser's submissions that those payments could not constitute a waiver of the insurer's right to repudiate the policy or operate as an estoppel against the assertion of such a right are, in my view, irresistible. It is clear from the policy specification schedule that the policy in question was a joint life policy and he obligation to pay premiums ceased on maturity date or death of the assured whichever came first. Accordingly the obligation to pay premiums in the

circumstances here ceased on 11 April 1999 when the deceased (one of the joint insured) died. In those circumstances the continuing cover under the policy come to an end and the premiums paid thereafter were inconsequential to the rights and obligations under the policy. Where there is no obligation to pay the premium, it can never be the case that payment thereof operates as a waiver or an estoppel on the right to repudiate a policy obtained through non-disclosure, concealment or misrepresentation of material facts. A waiver and estoppel could only operate on a continuing policy. Those considerations eluded the Learned Judge and they do distinguish this case from the authorities which affirm that acceptance of premium after knowledge of the material facts entitling an insurer to repudiate operate to deny him the right to subsequently repudiate the contract. In the result, I am of the opinion that grounds (4), (5) and (6) of the appeal succeed. That only leaves for consideration the respondent's grounds for affirming the decision on grounds other than those relied upon by the Learned Judge.

It bears repetition that the superior court found that the appellant was entitled to repudiate the policy on grounds of non-disclosure of material facts concerning whether the assured had a usual medical attendant, whether he had other life policies in force, whether he had been prevented from carrying out his work by illness, accident or medical condition, and whether he had any hereditary disease. There was no cross appeal from those findings. There being no such cross appeal, the respondents' second ground of affirming the decision is a vain one as the evidence which ought to have been called could only relate to non-disclosure of material facts. That ground must therefore be peremptorily rejected. The other ground for affirming the decision was that the appellant having caused the deceased to be examined by its own doctor and having known as a result of such examination that the deceased had a heart condition, and having loaded the premium as a result of that revelation, the appellant was precluded by waiver and/or estoppel from repudiating the policy. Having weighed the rival arguments, I have taken the view that if it had been the case that the insured had attempted to repudiate the policy on the basis of information relating to the deceased's heart condition, it would have been precluded from doing so by both waiver and estoppel: Waiver in that in the circumstances of this case, the appellant could have been said to have agreed to continue the policy notwithstanding the deceased's non-disclosure and misrepresentation of his heart condition in consideration of payment of enhanced premiums; and estoppel in that by not repudiating the policy and by accepting premiums after knowing the truth about his heart condition, the insurer had represented to the deceased that the policy would continue to be a valid one and the deceased had altered his position to his detriment by paying the enhanced premium. However, insurer here did not seek to avoid the policy only on grounds of the deceased's heart condition. The policy was also sought to be and was avoided on the grounds that the had not disclosed that he had a usual medical attendant, he had previously been hospitalised for pneumonia, and he had other policies of life assurance. In my view these other non-disclosures could not be said to have been waived nor could the insurer be said to be estopped from relying thereon to repudiate the policy by virtue of the fact that it had accepted an enhanced premium in consideration of the deceased's known heart condition. As counsel for the

appellant said colourfully, forgiveness of one lie did not connote forgiveness of all the other lies. In the premises, this ground of affirming the decision is also rejected.

In the upshot, I would allow this appeal, set aside the judgment and decree of the superior court and substitute therefore an order dismissing the plaintiffs' suit in the High Court with costs. I would award the costs of the appeal to the appellant.

Tunoi and Omolo JJA concurred in the judgment of Ringera AJA.

For the appellant:

Mr AK Fraser instructed by Hamilton Harrison & Mathews

For the respondents:

Kamithi v Kenindia Assurance Co

[2001] 2 EA 394 (CCK)

Division: Milimani Commercial Courts of Kenya at Nairobi

Date of judgment: 22 June 2001

Case Number: 37/00

Before: Mbaluto J

Sourced by: LawAfrica

Summarised by: C Kanjama

[1] Evidence – Documentary evidence – Section 61 – Evidence Act (Chapter 80) – Documents admitted after notice to admit – Whether such documents admissible without calling a witness – Whether such documents are proof of the contents – Order XII, rule 2 and 4 – Civil Procedure Rules.

[2] Insurance – Utmost good faith – Non-disclosure of material facts – Materiality of omissions – Whether policy voidable – Whether further acceptance of premiums affirms defective policy.

Editor's Summary

MK and her son S (“the Plaintiffs”) sued Kenindia Assurance Co (“Kenindia”) on account of a life insurance policy effected by the husband/father with Kenindia for the sum of KShs 4 million. The deceased died in April 1999 during the pendency of the policy. In August 1999 Kenindia wrote to MK repudiating their liability on account of non-disclosure pertaining to various medical conditions of the deceased (including diabetes, coronary artery disease and hypertension) and previous policies with other life insurance companies.

The Plaintiffs sued, claiming that Kenindia was estopped from repudiating its liability by its conduct. Kenindia had continued accepting premiums on the policy after the accident and even after June 1999 when they learnt from the Plaintiffs’ admission that there had been some non-disclosure. The Defendant averred that the policy was void due to false declarations in the proposal form and that they were entitled to repudiate liability.

Held – The failure to disclose the existence of previous policies and the deceased's medical conditions were material non-disclosures that entitled the insurer to repudiate the policy. *March Cabaret Club and Casino Ltd v The London Assurance I* *Lloyds Law Reports* [1975], *London Assurance v Mansel* [1879] 11 Ch D 363 adopted.

The insurer lost the right to avoid the policy when it continued to accept the premiums after having discovered the non-disclosure by the insured.

Cases referred to in judgment

("A" means adopted; "AL" means allowed; "AP" means applied; "APP" means approved; "C" means considered; "D" means distinguished; "DA" means disapproved; "DT" means doubted; "E" means explained; "F" means followed; "O" means overruled)

United Kingdom

London Assurance v Mansel [1879] 11 Ch D 363 – A

March Cabaret Club and Casino Ltd v The London Assurance I *Lloyds Law Reports* [1975] – A

March Cabaret Club and Casino Ltd v Thompson and Bryan Ltd

Judgment

MBALUTO J: The Plaintiffs are mother and son respectively. They are also the administrators of the estate of the late Stephen Kamithi who died at the Nairobi Hospital on 11 April 1999. Before his death the deceased together with his wife the First Plaintiff had effected a joint Life Insurance Policy with the Defendant under which the Defendant agreed, in consideration of the premiums paid by the two insured to insure their lives in the sum of Shs 4 million.

Upon the death of the deceased which I think the Defendant accepts as having occurred while the policy was still in force, the First Plaintiff made a claim for the sum assured but the Defendant in its letter to her dated 8 August 1999 repudiated the claim. The reason for repudiation of liability was said to be gross non-disclosure of material facts by the deceased which were listed in the said letter as follows:

- "1. Maturity onset diabetes – previously diagnosed
2. Coronary artery disease since 1990 resulting in CABG in 1996
3. Hypertension
4. Intermittent bronchospasm
5. Hospitalisation in 1995 for pneumonia

6. Particulars of previous policies with other Insurance Companies viz Alico and Mercantile
7. Particulars of proposal submitted to Alico in December 1998 which was declined by them”.

With regard to the alleged non-disclosure the Defendant stated in the letter (mentioned above) that had the undisclosed facts been disclosed in the proposal form, the Defendant would have offered insurance “as per the reinsurers underwriting rules”. I read that statement to mean that the Defendant would not necessarily have declined to issue the policy but that the policy would have been loaded to cover the additional risk arising from the undisclosed facts.

Be that what it may, the First Plaintiff did not accept that the Defendant were entitled to repudiate the claim and she together with the Second Plaintiff have accordingly instituted this suit to recover the sum assured. In the plaint, they aver that by failing to pay the sum assured, the Defendant acted wrongfully and in breach of the joint policy of insurance.

In its defence, the Defendant avers that in the proposal form for life assurance (exhibit 2) (hereinafter referred to as the proposal form), the deceased and the First Plaintiff declared that all the statements and answers given by them in the proposal form were true, full and complete in every particular and that they had not withheld any information. It is further averred in the same defence that:

- (a) the deceased and the First Plaintiff declared that the statements in the proposal and the declaration therein should be the basis of the contract of assurance between them on the one hand and the Defendant on the other;
- (b) the deceased and the First Plaintiff agreed that if any untrue averment was contained in the proposal form or declaration, the contract of assurance should be null and void and that all monies which should have been paid in respect of the contract should stand forfeited to the Defendant.

The Defendant claims that the deceased and the First Plaintiff made the following statements with regard to the deceased:

- (a) That he did not have a usual medical attendant
- (b) That no member of the family of the deceased, living or dead suffered from any hereditary disease (eg. diabetes, stroke, mental disorder, heart disease, high blood pressure).
- (c) That no illness, accident or medical condition had prevented the deceased from carrying out work and that the deceased had not remained absent from his work due to such condition in the last five years.
- (d) That no other Life Insurance was then in force over the deceased life.

The Defendant further claims that the information given in the proposal form and the declaration on the strength of which the joint policy was issued, was not true because:

“(a) The deceased had since 1990 been under the care and medical treatment of Dr DK Gikonyo.

(b) The deceased had been suffering from Ischaemic heart disease.

(c) The deceased was suffering from mature onset diabetes mellitis.

(d) The deceased was suffering from moderate primary hypertension,

(e) The deceased has suffered from pneumonia and been hospitalised in 1995.

(f) The deceased underwent heart surgery in October, 1996”.

The Defendant also states that at the time of the proposal to the Defendant there were Life Insurance Policies in force in respect of the deceased with Alico (K) Limited and Mercantile Life and General Assurance Company Limited and accordingly by virtue of the false information and false declaration made by the deceased and the First Plaintiff) the Defendant was entitled and did repudiate liability. Because of that, it is finally averred by the Defendant no sum is due from the Defendant to the Plaintiffs or the estate of the deceased.

The Plaintiffs filed a reply to the defence on 21 February 2000 in which they stated that the statements, answers, information and/or declaration (made by the deceased and the First Plaintiff) were not material to the policy as they did not go to the root thereof and were completely peripheral and of no consequence. The Plaintiff also states that the Defendant was or was made aware and had knowledge of the actual and/or true facts regarding the matter, prior to the policy and is therefore estopped from denying knowledge of those facts as they actually existed. And in the alternative the Plaintiff stated that the Defendant by conduct or otherwise led the Plaintiffs to believe that it would always honour in full its obligations under the policy subsequent to the deceased's death and consequently it is estopped from recanting its obligations.

As aforesaid the material facts which the deceased and the First Plaintiff are alleged not to have disclosed arise from questions raised in the proposal.

The questions were as follows:

“1. Question: State the name and address of your usual medical attendant.

Answer: None.

2. Question: Does any member of your family, living or dead, suffer or has suffered from any hereditary disease (for example diabetes, stroke, mental disorder, heart disease, high blood pressure etc?) If yes, please give details.

Answer: None.

3. Question: Has any illness, accident, or medical condition prevented you from carrying out your work or have you remained absent from your work due to such a condition in the last five years?

Answer: None.

4. Question: What other insurance is currently in force in your life? Please give the name of the company, year of commencement of insurance, Amount and Policy Number.

Answer: None”.

At the top of the proposal the following words besides others, are printed: “All material facts shall be stated. If there is any doubt whether certain facts are material then such facts shall also be disclosed”.

And at the last page of the proposal there is a declaration that:

“[T]he statements and answers have been given by me/us after fully understanding the questions and the same are true, full and complete in every particular and that I/we have not withheld any information and I/we do hereby agree and declare that these statements and this declaration shall be the basis of the contract of assurance between me/us and Kenindia Assurance Company Limited (hereinafter called ‘the company’) and that if any untrue averment be contained therein, this contract shall be absolutely null and void and all moneys which shall have been paid in respect thereof shall stand forfeited to the company. I/we have read any answers completed in other than my/our own handwriting and confirm that they are correct”.

It is the contention of the Defendant that the answers given by the deceased and the First Plaintiff to the above questions are all untrue and that they amount to non-disclosure of material facts which in terms of the policy entitle the Defendant to repudiate the policy.

It is settled law that a contract of insurance is *uberimae fides* and any undue disclosure of material facts in the proposal form by the insured will entitle the insurer to repudiate the policy. There are numerous authorities on the matter but I will confine myself to a few.

In the Law of Insurance by R Colingvaux (5 ed) paragraph 5.01 at 92 it is stated:

“[I]n the case of certain contracts, however, the law demands a higher standard of good faith between the parties, and ‘there is no class of documents as to which the strictest good faith is more rigidly required in courts of law than policies of assurance’. As the underwriter knows nothing and the man who comes to him to ask him to insure knows everything, it is the duty of the assured, the man who desires to have a policy, to make a full disclosure to the underwriters without being asked of all the material circumstances, because the underwriters know nothing

and the assured knows everything. This is expressed by saying that it is a contract of the utmost good faith – *uberrima fides*”.

And in McGillivray on Insurance Law (9 ed) paragraph 17 at 390 the learned author states:

“Insurance is one of certain contracts expressed by the law to be contracts of the utmost good faith – *uberrimae fidei* – and as a consequence each party is required to disclose material facts before conclusion of the contract. The general principles upon which the duty of disclosure is based were stated by Lord Mansfield in the well-known leading case of *Carter v Boehm*. Insurance is a contract of speculation. The special facts upon which the contingent chance is to be computed lie most commonly in the knowledge of the assured only; the underwriter trusts to his representation, and proceeds upon confidence that he does not keep back any circumstance in his knowledge to mislead the underwriter into a belief that the circumstance does not exist. The keeping back in such circumstances is a fraud, and therefore the policy is void. Although the suppression should happen through mistake, without any fraudulent intention, yet still the underwriter is deceived and the policy is void; because the risk run is really different from the risk understood and intended to be run at the time of the agreement ... The policy would be equally void against the underwriter if he concealed ... Good faith forbids either party, by concealing what he privately knows, to draw the other into a bargain from his ignorance of the fact, and his believing the contrary”.

Also in the case of *March Cabaret Club and Caseno Ltd v The London Assurance*; *March Cabaret Club and Casino Ltd v Thompson and Bryan Ltd*, *Lloyds Law Reports* [1975] Volume 1 at 169 which decision though based on the English Marine Insurance Act 1906 applies to non-marine insurance as well, it was held: “the assured must disclose to the insurer ... every material circumstances which is known to the assured ... If the assured fails to make such disclosure, the Insurer may avoid contract”.

The effect of non-disclosure is also discussed in *The Law of Insurance* by R Colinvax (above) at paragraph 5.02 where the learned author states that:

“The duty to disclose is not an implied term of the contract itself. Unlike fraud or a breach of condition, non-disclosure never by itself gives rise to a claim for damages.

Avoidance of the whole contract is the only remedy. Once the aggrieved party knows all the facts, and has had a reasonable time in which to make up his mind, he must make his election once and for all. He need not exercise it, however, until he does know all the facts; being put on inquiry is not sufficient. Thus where, although the assured has suppressed or misrepresented a fact, he discloses it to the insurance office before they pay a claim, they cannot after payment recover back the money. Similarly where the insurers receive notice that the risks insured against

have been misrepresented, concealed or incompletely disclosed and accept further premiums on the same policy, they lose their right to avoid it”.

As shown above, there are four different answers to the questions in the proposal which the Defendant contends amount to non-disclosure of material facts. Regarding that aspect of the matter, the First Plaintiff in cross-examination conceded that the answer to the questions relating to other policies, hereditary diseases, usual medical attendant and whether the deceased had been prevented from carrying out his work by illness, accident or medical condition had all been untrue or incorrect. She admitted that the deceased used to be treated by Dr Gikonyo who had been his doctor since 1990. She also admitted that the deceased had a heart disease and was off work for three weeks when he went to South Africa for a heart operation. At the same time, Mr Isaac Pitt Ngaru (PW3) an insurance management consultant who testified for the Plaintiffs as an expert witness, while of the view that the repudiation of the policy by the Defendant was in the circumstances of the matter punitive, accepted that the information sought through the questions referred to above related to material facts. He stated:

“I accepted that a person applying for insurance would be under an obligation to make full disclosure of any fact relevant to the medical condition. If any Applicant suffers from diabetes that would be a material fact to disclose. Also a man suffering from coronary heart disease – that would be material and relevant. Also hypertension – the same with intermittent bronchospasm – hospitalisation for pneumonia – all these are material and I would expect them to be disclosed.

The existence of other policies is material and relevant. I agree that any answer saying that there were no policies when there were life policies is a serious omission”.

The Plaintiffs’ response to the Defendant’s complaints regarding non-disclosure of material facts has already been adverted to; in brief it is that the facts not disclosed were immaterial and did not go to the root of the policy. With that contention, I do not agree. As aforesaid, it is even contradicted by the Plaintiffs’ own witness Mr Ngaru (PW3). In my view there is the clearest evidence that there was non-disclosure of material facts in this matter.

The clearest case of non-disclosure of material facts relates to the Life Policies with Alico (K) Limited and Mercantile Life and General Assurance Co Limited. As mentioned above, the existence of those policies at the time of completing the Proposal Form was admitted by the First Plaintiff. In that respect there can be no doubt that the answer “None” to the question “What Life Insurance is currently in force on your life” was plainly untrue and a gross non-disclosure of a material fact.

If any authority were required for the right of the Defendant to repudiate the policy in those circumstances, then the case of *London Assurance v Mansel* [1879] 11 Ch. D 363 comes to mind. The headnote reads:

“In a proposal by M to an assurance office for an assurance of his life, in answer to the question, ‘Has a proposal ever been made on your life at any other office or offices? If so, Where? Was it accepted at the ordinary premium, or at an increased premium, or declined?’ his answer was, ‘Insured now in two offices for £ 16 000 at ordinary rates. Policies effected last year’. The proposal was accepted, but the office having subsequently ascertained that the life of M had been declined by several offices:

Held, that there had been a material concealment, and that the office was entitled to have the contract set aside”.

Accordingly, having regard to the facts of this case and the law on the matter, I am of the opinion that by reason of non-disclosure of material facts the Defendant was entitled to repudiate the policy at the time it became aware of the true position regarding the information it had received from the deceased and the First Plaintiff. In the event however, the Defendant did not repudiate the policy within a reasonable time and instead continued to accept payment of the premiums from the First Plaintiff. By so doing, it is my view that the Defendant lost its right to repudiate the policy.

In paragraph 2(c) of the Reply to Defence, the Plaintiffs aver:

“[A]lternative to the contents of subparagraph 2(a) hereinbefore the Plaintiffs state that the Defendant by conduct or otherwise led the Plaintiffs to believe that they would in all ways honour its obligations vide the said policy in full subsequent to the deceased’s death and is therefore estopped from recanting its said obligations and/or constituted by the representations perpetuated by the said conduct or otherwise”.

As mentioned above, the deceased died on 11 April 1999 and the death was reported to the Defendants on 1 May 1999. From that date up to 5 November 1999, the Defendant continued to accept the monthly premium of Shs 42 884 on the joint policy without raising any query on the matter. In his submission, Mr Fraser for the Defendant said that the premiums were accepted because they were being paid through a banker’s order which the First Plaintiff had failed to stop upon the death of the deceased. However, I am unable to see what would have obliged the First Plaintiff to stop payment of the premiums prior to receipt of communication from the Defendant of its intention to repudiate the policy and particularly when the Defendant was all the while, accepting the payments without any complaint. In any case, the Defendant having tendered no evidence whatsoever in this matter regarding that or indeed any other issue, there is nothing to support what Mr Fraser says.

I say there was no evidence tendered on behalf of the Plaintiff notwithstanding Mr Fraser’s claim to the contrary because what he thought was evidence was in law nothing of the sort. I refer to two documents “MFIA” and “MFIB” which were referred to in the proceedings during the cross-examination of the First Plaintiff (PWI). (MFIA is subsequently referred to erroneously as exhibit A.)

Mr Fraser's submission was that because the two documents were the subject of a notice to admit documents under Order XII, rule 2(1) of the Civil Procedure Rules and that there was no denial of the documents, they are therefore deemed to have been admitted by virtue of section 61 of the Evidence Act which provides that:

"No fact need be proved in any civil proceeding ... which by any rule of pleading in force at the time are deemed to have been admitted by their pleadings.

Provided that the court may in its discretion require the facts to be proved otherwise than by such admissions".

He also referred to Order XII, rules 2(1) and (2) of the Civil Procedure Rules which provide:

"2(1) Any party to a suit may by notice in writing call upon any other party to admit any document, saving all just exceptions, and if the other party desires to challenge the authenticity of the document he shall, within fourteen days after service of such notice, serve notice that he does not admit the document and that he requires it to be proved at the hearing.

2(2) If such other Party refuses or neglects to serve notice of non-admission within the time prescribed, he shall be deemed to have admitted the document, unless the court otherwise orders".

It was Mr Fraser's contention that where documents are the subject of a notice to admit documents and such documents have been admitted, they are (a) admissible in evidence without calling a witness and (b) they are also proof of the contents of the documents and the facts set out thereon.

Although Mr Fraser referred to Mulla (Code of Civil Procedure) and Sarkar (Law of Evidence) on the matter, he did not cite any specific statement or authority that directly supports what he said. With all due respect, I do not consider his contention to be sound in law. In my view, a document even if not denied, does not become part of the record nor do its contents become evidence unless it be formally admitted in evidence with the consent of the parties or is tendered in evidence through a witness. As to admission of facts, rule 4 of Order XII makes provision as to how notice to admit facts is to be given and what effect there is of refusal or neglect to admit them. The provisions are clear enough and I do not think I need to add anything in regard thereto.

But whatever the correct construction of Order XII, rules 2(1) and (2) and 4 of the Civil Procedure Rules may be, the major problem with the stand taken by Mr Fraser is that no notice was actually issued by the Defendant either under Order XII, rule 2 or under rule 4 in the instant case. I say so because having carefully gone through the case file, the only documents I can find relevant to what Mr Fraser was talking about are:

(a) a document headed: "Plaintiffs List of Documents For Discovery (Order X, rule IIA Civil Procedure Rules)" filed by the Plaintiffs' advocates; and

(b) a document headed: “Defendants List of Documents”

filed by the Defendant’s advocates which were presumably done pursuant to the same rule, namely Order X, rule IIA of the Civil Procedure Rules.

The above two lists cannot in any way be considered to be either Notices to Admit Documents or Notice to Admit Facts as required by Order XII, rules 3 and 5 (see Forms 9 and 10 of Appendix B) and consequently Mr Fraser’s submission on the matter are in my view misconceived. For all those reasons. I do not consider MFIA and MFIB as either part of the record or evidence in this matter.

It may also be argued on behalf of the Defendant that the material facts the non-disclosure of which purportedly caused the repudiation of the policy did not come to the Defendant’s possession until after the completion of the investigations lodged following the claim by the First Plaintiff. However, the position in the matter is that in the statement dated 18 June 1999 made to the Defendant’s own investigators, the First Plaintiff disclosed the existence of the other policies with Alico and Mercantile Finance. Given that fact, it is obvious that from that moment onwards the Defendant knew or ought to have known that it was entitled to repudiate the policy on account of non-disclosure of that particular material fact. Consequently, by failing to take any steps to repudiate the policy but instead continuing to accept the premiums from the First Plaintiff for another 5 months after becoming aware of the existence of circumstances which entitled it to repudiate the policy, the Defendant lost the right to avoid the policy.

In ColinvauX (above) paragraph 5–02 it is stated:

“The duty to disclose is not an implied term of the contract itself. Unlike fraud or a breach of condition, non-disclosure never by itself gives rise to a claim for damages. A voidance of the whole contract is the only remedy. Once the aggrieved party knows all the facts, and has had a reasonable time in which to make up his mind, he must make his election once and for all. He need not exercise it, however, until he does know all the facts; being put on inquiry is not sufficient. Thus where, although the assured has suppressed or misrepresented a fact, he discloses it to the insurance office before they pay a claim, they cannot after payment recover back the money. Similarly where the insurers receive notice that the risks insured against have been misrepresented, concealed or incompletely disclosed and accept further Premiums on the same policy, they lose their right to avoid it”.

In my view therefore, the position in this matter is clear. The Defendant had a right to repudiate the policy upon the discovery of non-disclosure of material facts by the deceased. Accordingly, although the evidence is not very clear when the Defendant first became aware of the matter (the blame for the lack of clarity squarely falls upon the shoulders of the Defendant it having called no evidence in this matter at all) at the very latest it knew by 18 June 1999 that the answer to the question regarding other life policies was untrue and that it had the right to repudiate the policy.

In my opinion therefore, the Defendant lost the right to avoid the policy by accepting further premiums on the policy from that moment.

For all the above reasons, the Plaintiff's claim succeeds. There will therefore be judgment for the Plaintiffs against the Defendant for KShs 4 million with interest thereon from the date of filing suit till payment in full. The Defendant will bear the Plaintiffs' costs of this suit.

For the Plaintiff:

Information not available

For the Defendant:

Jubilee Insurance Co Ltd v John Sematengo

[1965] 1 EA 233 (HCU)

Division: High Court of Uganda at Kampala

Date of judgment: 3 March 1965

Case Number: 277/1964

Before: Sir Udo Udoma CJ

Sourced by: LawAfrica

[1] Insurance – Motor insurance – Action for declaration that insurance company entitled to avoid policy – Allegation of non-disclosure and misrepresentation by insured – No pending action or unsatisfied judgment against insured – Whether action for declaration maintainable – Traffic Ordinance 1951 s. 104 (4) (U).

Editor's Summary

The plaintiff an insurance company, filed a suit against the defendant insured for a declaration that the company was entitled to avoid a motor insurance policy issued to him on the grounds that the same was obtained by nondisclosure of material facts and by misrepresentations of facts which were false in some material particular. It was common ground that there was no action commenced and pending or a judgment obtained against the defendant. For the defendant it was submitted that having regard to the provisions of s. 104 (4) of the Traffic Ordinance, 1951, the action was not maintainable in law because no action had been taken nor judgment obtained against the defendant against which the defendant could claim to be indemnified by the plaintiff company. The judge found that the insurance policy was obtained by the nondisclosure of a material fact and by a representation of fact which was false in some particular.

Held –

(i) the purpose and intent of the provisions of s. 104 (4) of the Traffic Ordinance, 1951 is to enable an insurance company to avoid an insurance policy on the ground of nondisclosure of a material fact or misrepresentation of fact which is false in some material particular, regardless of any provisions in the insurance policy;

(ii) it is not necessary that before an action for declaration can be maintained in law, an action must have been commenced and pending or a judgment obtained against the insured and accordingly the action was maintainable in law.

Declaration as prayed.

Cases referred to in judgment

- (1) The Motor Union Insurance Co. Ltd. v. A. K. Ddamba, [1963] E.A. 271 (U).
- (2) Joel v. Law Union & Crown Insurance Co., [1908] 2 K.B. 863.
- (3) MacDonald v. The Law Union Fire & Life Insurance Co., [1879] K.B. 328.
- (4) Thompson v. Weems, [1889] A.C. 671.
- (5) Condogianis v. Guardian Assurance Co. Ltd., [1921] 2 A.C. 125.
- (6) Biggar v. Rock Life Assurance Co., [1902] K.B. 516.

Judgment

Sir Udo Udoma CJ: This is a claim by the plaintiff for a declaration that it is and was at all material times entitled to avoid the policy of insurance, No. UCV/7457, dated June 10, 1963, apart from any provisions contained therein, on the ground that the said policy was obtained (by the defendant) by the nondisclosure of material facts or by misrepresentation of facts which were false in some material particular or by both ways.

The material facts alleged to have been misrepresented or not to have been disclosed (or both) are pleaded in para. 4 of the plaint filed in the following terms:

“4. The said proposal form and the said declaration contained (inter alia) the following questions to and answers by the defendant:

Question No. 16. Is the vehicle at present in a thorough state of repair?

Answer: Yes.

Question No. 19. Give record of accident and/or loss during the past five years in connection with any motor vehicle owned or driven by you, whether insured including any claim outstanding.

Answer: None.”

The allegation of the plaintiff company is that the proposal form and the declaration contained therein formed the basis of the policy of insurance and were incorporated in the said policy. The plaintiff company now complains that the answers to questions Nos. 16 and 19 set out above

were false in material particulars in that, as regards the answer to question No. 16, the motor lorry, No. UFY 420, had, at the material time, broken down on the Kampala-Jinja road owing to a major mechanical defect, and was not therefore then in a thorough state of repair; and, in respect of the answer to question No. 19, the motor lorry aforesaid had been involved in a collision in the night of April 24, 1963, and was then lying on the Kampala-Jinja road; both which material facts the defendant had not only failed to disclose to the plaintiff company at the material time, but had also misrepresented.

In his written statement of defence the defendant denies that:

(1) the answers to the questions set out in para. 4 of the plaint were material “in or about the making of the said policy”;

(2) he obtained the said policy by nondisclosure by misrepresentation of material facts as alleged or at all; or both and

(3) whatever facts were within his knowledge regarding his said motor lorry were disclosed for (sic) the plaintiff’s servant or agent when he wrote down the answers on the said piece of paper.

The defendant therefore “contends that the plaintiff is not entitled to avoid the said policy either by reason of the provisions of sub-s. 4 of s. 4 of the Traffic Ordinance of (sic) otherwise”.

At the hearing, the defendant neither gave nor called any evidence in support of any of the averments contained in his statement of defence. The only evidence before the court was given by the plaintiff and its witnesses.

On the evidence, which has not been contradicted and which I accept, I think it has been established that the defendant is the registered owner of the motor lorry, No. UFY 420, which had previously been insured with the plaintiff company and the policy of which insurance expired on March, 4 1963, without any renewal.

On April 24, 1963, in the night, the motor lorry No. UFY 420 was involved in a collision with a Peugeot estate car No. USB 683 at mile 8 on the Kampala -Jinja road. At about 9.30 p.m. that night Cpl. James Ahenda, No. 7494, visited the locus in quo. He found both the lorry, No. UFY 420, and the Peugeot estate car, No. USB 683, lying in line on the road. He inspected both vehicles and took measurements and drew a sketch plan of the scene.

Between 8.30 a.m. and 9 a.m. on April 25, 1963, the defendant went to the plaintiff company. He applied for the renewal of his previous policy. He was informed that the policy could not be renewed owing to effluxion of time. The defendant thereupon applied for a new third party insurance policy as prescribed under the Traffic Ordinance, 1951, to cover his said motor lorry for only a period of three months. He explained that he could not afford to insure the said motor lorry for a longer period. On enquiry, he also explained that he had brought his lorry No. UFY

420 with him to Kampala, and that it was then stationary at the Nakivubo motor park, Kampala, loaded with matoke.

At his request the proposal form, Ex. A, was supplied to him for completion. As the defendant does not understand English, at his request, and on his instructions and on his behalf the proposal form, Ex. A, was completed by Charles Kulabiwo Serumaga (P.W. 1), a clerk employed by the plaintiff company, to whom the defendant spoke in Luganda the answers required for completing the form Ex. A; which answers Charles Kulabiwo Serumaga (P.W. 1) duly and correctly translated into English from Luganda and recorded on the said form. The completed form, Ex. A, was then read over and again translated from English into Luganda for the benefit of the defendant, who, thereupon on being satisfied, signed the declaration of warranty on the reverse side of the form aforesaid, thereby signifying that his answers had been correctly and faithfully recorded thereon.

The form, Ex. A, thus completed was submitted to the plaintiff company's representative, Sadrudin Jamal (P.W. 7), who, after having examined it and being satisfied with the answers given thereon, immediately the same day and in consideration of the payment of the premium of the sum of Shs. 26/- by the defendant, issued to the defendant the cover note, Exhibit B. Thereafter Sadrudin Jamal (P.W. 7) issued to the defendant a policy of insurance, and pursuant the provisions of s. 101 of the Traffic Ordinance, 1951, also a certificate of insurance; copies of both which documents are in these proceedings exhibited and marked Exhibits E and F respectively.

The defendant later the same day at about 11 a.m. went to Yokana Muwange (P.W. 5), a motor mechanic, at his workshop situate at some 2½ miles on the Gayaza-Kampala road. He reported to him that his lorry was lying on the Kampala-Jinja road in a bad state of repairs, the same having broken down. He requested the latter to accompany him to the site on the road where the lorry was lying in order to effect repairs. Yokana Muwange (P.W. 5) went with him. He found the motor lorry on the road. The bearings of the near wheel of the motor lorry were broken and the wheel itself rendered immobile. It was stiff. The defendant requested Yokana Muwange (P.W. 5) to repair the said lorry for him.

Yokana Muwange (P.W. 5) set at once to work on the lorry, having first obtained the requisite spare parts from Kampala. The work of repairing the motor lorry continued late into the night, and a hurricane lantern had to be placed on the top of the lorry. While the lorry was stationary on the Kampala - Jinja road undergoing repairs, a Fiat motorcar ran into and collided with it from behind, that night.

In June, 1963, it came to the knowledge of the plaintiff company that the motor lorry, No. UFY 420, property of the defendant insured with it had been involved in a collision with another vehicle on April 25, 1963. The plaintiff company was thereupon put on an enquiry. As a result it was further discovered that on April 24, 1963, that is, the day before the defendant insured the

motor lorry with the plaintiff company, the motor lorry, No. UFY 420, had also been involved in a collision with a Peugeot estate car No. USB 683, in consequence of which the motor lorry, No. UFY 420, was lying immobile with a major mechanical defect on the Kampala-Jinja road.

After due enquiry, the plaintiff company on January 16, 1964, addressed the letter, Ex. D, in these proceedings to the defendant repudiating the policy of insurance, and subsequently filed this suit seeking the declaration hereinbefore mentioned.

Counsel for the defendant, has submitted that having regard to the provisions of s. 104 (4) of the Traffic Ordinance, 1951, this action is not maintainable in law. Counsel contended that before an action for a declaration of the plaintiff's right to avoid the defendant's insurance policy can be maintained there ought to be either an action commenced and pending, or a judgment obtained against the defendant in respect of the accident; and since there is no such action or judgment in this case this action cannot be maintained in law.

Counsel referred the court to the case of *The Motor Union Insurance Co. Ltd. v. A. K. Ddamba* (1) and contended that the decision therein did not deal with the question as to whether or not that action was maintainable in law pursuant the provisions of s. 104 (4) of the Traffic Ordinance.

For the plaintiff company, counsel submitted that the plaintiff company is entitled to judgment both on the evidence and in law; and that under the provisions of s. 104 (4) of the ordinance the plaintiff company is entitled to the declaration sought regardless of the fact that there is pending neither suit nor any unsatisfied judgment recovered against the defendant. In support of this submission counsel cited and relied on *The Motor Union Insurance Co. Ltd. v. A. K. Ddamba* (1).

Now the provisions of s. 104 (4) of the Traffic Ordinance, 1951, without its proviso, which I consider irrelevant to the issue in controversy in the instant case, are as follows:

“No sum shall be payable by an insurer under the foregoing provisions of this section, if, in an action commenced before, or within three months after, the commencement of the proceedings in which the judgment was given, he has obtained a declaration that, apart from any provisions contained in the policy, he is entitled to avoid it on the ground that it was obtained by the nondisclosure of a material fact, or by a representation of fact which was false in some material particular, or, if he has avoided the policy on that ground, that he was entitled so to do apart from any provision contained in it.”

The contention of counsel for the defendant is that by reason of the above provisions the present action is not maintainable in law because no action has been taken nor judgment obtained against the defendant against which the defendant can claim to be indemnified by the plaintiff company. In the absence of such action or judgment there can be no question of the plaintiff company being called upon to make payment to anyone. In other words, it is only when anyone who has

obtained judgment against the defendant seeks to enforce such a judgment against the plaintiff company, contended counsel, that the latter can come to the court and ask for a declaration. Counsel's submission therefore resolves itself to the construction of the provisions of s. 104 (4) of the Traffic Ordinance, 1951.

It is of interest to note that the provisions of s. 104 (4) of the Uganda Traffic Ordinance, 1951, are taken verbatim from the provisions of s. 10 (3) of the English Road Traffic Act, 1934. The point raised in the instant case would appear not to have been raised in the English Courts, which of course is not surprising as the provisions of the Act appear very clear and are devoid of any ambiguity.

Commenting on the provisions of s. 10 (3) of the Traffic Act 1934, C. N. Shawcross in his book *The Law of Motor Insurance* (1936 Edn.) at p. 404 said:

“Unless the policy has been cancelled before liability to a third party is incurred and the certificate of insurance has been surrendered by the assured, insurers are not entitled to rely upon nondisclosure or misrepresentation by the assured as a ground upon which to avoid liability to that third party who has obtained judgment against the assured in respect of death or bodily injury arising out of the use of the assured's motor vehicle on the road. In order to avoid such liability to a third party the insurer must go further and commence proceedings, within a specified time, for a declaration that he is or was entitled to avoid the assured's policy upon the ground of non-disclosure or misrepresentation of a material fact, apart from the terms of the policy.”

It would appear that the purpose and intent of the provisions of s. 104 (4) of the Traffic Ordinance was to enable an insurance company to seek a declaration from the court that it is entitled to avoid an insurance policy on the ground of nondisclosure of a material fact or misrepresentation of fact which is false in some material particular, regardless of any provisions in the insurance policy contained. Where an insurer has obtained such a declaration either before or three months after the commencement of proceedings by a third party in which the party had obtained judgment against the assured, the insurer cannot be called upon to satisfy such a judgment.

In my view the effect of these provisions, on a true construction, like the effect of the provisions of the corresponding English Act, is to prevent an insurer without resort to the court from relying solely upon nondisclosure or misrepresentation by the assured as the ground upon which to avoid his liability to a third party who has already obtained judgment against the assured. There is nothing in the provisions of the Ordinance to support counsel for the defendants submission that before an action for a declaration can be maintained in law, a judgment must have been obtained against an insured. The submission is unconvincing. It is misconceived and must be over-ruled. In my opinion this action is maintainable in law and has been properly brought before this court.

I think counsel was in error in his contention that the decision of the court in *The Motor Union Insurance Co. Ltd. v. A. K. Ddamba* (1) did not deal specifically with the question as to whether or not that action was maintainable in law. It is of course true that the learned trial Judge used the word “competent” instead of maintainable. I am satisfied that the point was indeed one of the main issues decided in that case. In dealing with that point Jeffreys Jones, J. had said:

“This Section, i.e. 104 (4) of the Traffic Ordinance was designed to protect the insurance company if they bring an action either (a) before an action is started against the insured, or (b) within three months after it has been commenced for a declaration that they are entitled to avoid the contract subsisting between them as there has been nondisclosure of a material fact or that there has been a representation of fact which was false in some material particular. Once the insurance company has obtained such a declaration, they can produce such a declaration in any subsequent action taken under the policy against the insured and deny liability therefor.”

With the above quoted passage of the learned judge’s judgment I respectfully agree.

Accepting the evidence of the plaintiff company and its witnesses as I do, the question must be, is the plaintiff company entitled to the declaration which it seeks on the grounds that the insurance policy, Ex. E, was obtained by the nondisclosure of a material fact, or by a misrepresentation of fact which was false in some material particular, or both? I think so.

The representative of the plaintiff company, Sadrudin Jamal (P.W. 7) has sworn that if at the time the form, Ex. A, was submitted to him it had been disclosed that the motor lorry, No. UFY 420, had been involved in an accident the previous day he would not have issued the defendant with the cover note, Ex. B, or agreed to have the motor lorry insured at all, and that he relied entirely on Ex. A in accepting to insure the motor lorry. He said further that even in August 1963 during an interview, the defendant only admitted the accident which had occurred on April 25, 1963 but not that of April 24, 1963.

It is well established that a contract of insurance is *uberrimae fidei* and therefore requires the utmost good faith from both parties during the making of it. Nondisclosure of a material fact or a representation of fact false in some material particular renders the contract voidable. Nondisclosure of a material fact as such may not by itself be a ground for damages, the only remedy available would appear to be the avoidance of the contract. The contract being *uberrimae fidei* the insurer is entitled to be put in possession of all material information possessed by the insured.

As was said in *Joel v. Law Union & Crown Insurance Co.* (2) ([1908] 2 K.B. at p. 883) by Fletcher Moulton, L.J.:

“The contract of life insurance is one *uberrimae fidei*. The insurer is entitled to be put in possession of all material information possessed by the insured. This is authoritatively laid down in the clearest language by Lord Blackburn in *Brownlee v. Campbell* 5 A.C. 925 at p. 954:

‘In policies of insurance, whether marine insurance or life insurance, there is an understanding that the contract is uberrimae fidei, that, if you know any circumstance at all that may influence the underwriter’s opinion as to the risk he is incurring, and consequently as to whether he will take it, you will state what you know. There is an obligation there to disclose what you know, and the concealment of a material circumstance known to you, whether you thought it material or not, avoids the policy.’

There is, therefore, something more than an obligation to treat the insurer honestly and frankly, and freely to tell him what the applicant thinks it is material he should know.”

In *Macdonald v. The Law Union Fire & Life Insurance Co.* (3) the plaintiff therein effected a policy of insurance with the defendants therein on the life of a K. M. Taylor, which was under the seal of the defendants, but the plaintiff was not made a party to the policy. In it there was the proviso “that if the declaration under the hand of the plaintiff delivered at the defendants’ office as the basis of the insurance is not in every respect true – then the insurance shall be void.”

On proposing the insurance, the plaintiff had answered in writing certain questions; and at the foot he had signed, as the person proposing the insurance, a declaration in the following terms:–

“I declare that the above particulars are truly set forth”.

It was held that the proviso in the policy, by the terms of which the plaintiff having accepted it was bound, avoided the insurance if the particulars in the declaration were untrue in fact, on a material matter, although not untrue to the plaintiff’s knowledge.

In *Thompson v. Weems* (4), William Weems applied to an insurance office to effect a policy on his life. He received a printed form of proposal containing certain questions. Among the questions there were the following:

“Question 7 (a) Are you temperate in your habits?

(b) and have you always been strictly so?

Answer to (a) “Temperate”; and

(b) “Yes”.

Subjoined to the printed questions, there was a declaration which was signed by Weems to the effect that the foregoing statements were true and that the assured agreed that this declaration should be the basis of the contract; and that if any untrue averment etc. was made the policy was to be absolutely void and all moneys received as premium forfeited. The policy recited the above declaration as the basis of the contract.

After Weems’ death the insurance company refused payment of the sum of £1,500, being the amount due on the policy on the ground that the answers given by Weems on the proposal form

were false in fact. In an action to recover the amount of the policy, it was held by the House of Lords, reversing the decision of the court below, that the declaration of Weems taken, in connection with the policy, constituted an express warranty that the answer to question 7 was true in fact; and that as the evidence clearly proved that Weems' averment as to his temperance was untrue, the policy was absolutely null and void.

In the instant case, I find as a fact on the evidence that the answer given by the defendant to question No. 16 was false in material fact; and false within the knowledge of the defendant as it is highly probable that at the material time when the defendant applied on April 25, 1963 to have his motor vehicle, No. UFY 420, insured and in pursuance thereof had completed the proposal form, Ex. A, he knew that the said motor vehicle had broken down and was immobile on the Kampala-Jinja road, owing to a major mechanical defect; and that the same was therefore not in a thorough state of repair. I think that the answer, "yes", given by the defendant constitutes a representation of facts false in some material particular.

The fact that the defendant told a false tale when in reply to enquiries he had said to Charles Kulabiwo Serumaga (P.W. 1) that the said motor lorry was loaded that morning with matoke and was then at the Nakivubo motor park, whereas in fact the said lorry was at the time on the Kampala-Jinja road; the fact also that the defendant went that same morning to Yokana Muwange (P.W. 5) and took him to the Kampala-Jinja road for the express purpose of repairing the said motor lorry; the fact that the previous policy had expired on March 4, 1964 and no attempt had been made to renew it until the morning on April 25, 1963, that is to say, the morning after the accident resulting in the breakdown of the motor vehicle, No. UFY, 420 on the road; all these facts must lead irresistibly to the inference that the defendant knew full well before his visit to the office of the plaintiff company's representative, of the accident of the night of April 24, 1963, and that the said motor vehicle was then immobile on the Kampala-Jinja road.

From the evidence as a whole and the above findings, I also draw the inference that the defendant deliberately left question No. 19 unanswered even though he well knew that the motor lorry aforesaid had been involved in an accident on April 24, 1963. It follows I think that by deliberately refusing to give any answer to question No. 19 the defendant had failed to disclose to the plaintiff company the record of accident involving the motor lorry No. UFY 420. Thus the defendant had obtained the policy, Ex. E, and the certificate, Ex. F, by the nondisclosure of a material fact and by a representation of fact false in some material particular.

This action is technically founded on the provisions of s. 104 (4) of the Traffic Ordinance, that is to say, quite independently of the terms contained in the policy, Ex. A. It has been brought pursuant those provisions. Whether or not the declaration of warranty contained in the proposal form, Ex. A, forms the basis of the contract and is incorporated therein seems to me of little moment.

The right of action provided for under s. 104 (4) of the Ordinance is entirely separate, distinct and independent of any provision contained in the policy,

Ex. E, and would appear to be narrower than any right of action which might accrue under the contract of insurance as such. In an action brought pursuant these provisions the nondisclosure must be of a material fact and the misrepresentation false in some material particular. In the case of an action founded upon the terms of the policy as a contract it seems to me that a misrepresentation need not necessarily be material so long as it forms the basis of the contract of insurance.

In the Australian case of *Condogianis v. Guardian Assurance Co. Ltd.* (5) the appellant sued the respondent upon a policy issued by them insuring certain laundry premises against fire. A proposal form filled up by the appellant when applying for the policy contained the following questions:

“Has the proponent ever been a claimant on a fire insurance company in respect of the property now proposed, or any other property?

If so, state when and name of company.”

The appellant’s answer to the question was “Yes. 1917. ‘Ocean’.” The answer was literally true as in 1917 he had claimed against Ocean Insurance Co. in respect of the burning of a motorcar; but in 1912 he had made a claim against another company in respect of a similar loss. The proposal form stated that it was the basis of the policy and that the particulars given by the appellant were to be express warranties. The policy contained a condition that if there was any misrepresentation as to any fact material to be known in estimating the risk, the respondents were not to be liable upon the policy.

It was held by the Privy Council that the answer was untrue since the question could not reasonably be read as being intended to have the limited scope which would render the answer true; that there was a breach of warranty whether or not the misrepresentation was as to a material fact; and that the appellant could not recover.

Although in para. 9 of his statement of defence, the defendant had averred that the plaintiff company’s servant or agent had not read over his answers to him before he, the defendant, signed Ex. A, no evidence was called in substantiation of that averment; nor was any argument addressed to the court on the issue. In order, however, that there should be no doubt as to the view of the court on the issue, suffice it to say that I am satisfied on the evidence that the defendant’s answers were not only read over but were interpreted to the defendant, who clearly understood them before he signed Ex. A.

It was the defendant’s duty to insist that his answers be read and interpreted to him before signing Ex. A; and if he had failed in that duty, which on my findings is not the case, he must be

taken to have had the answers read and interpreted to him. For the servant or agent of the plaintiff company, in filling the answers on the proposal form, Ex. A, was not at the material time the agent of the plaintiff company but of the defendant for the purposes of the proposal form, Ex. A. (See *Biggar v. Rock Life Assurance Co.* (6)).

In my judgment the plaintiff company is entitled to the declaration sought because it has satisfactorily discharged the onus which is upon it of establishing by preponderance of evidence that the insurance policy, Ex. E, and the certificate, Ex. F, were obtained by the defendant by the nondisclosure of a material fact and/or by a representation of fact which was false in some particular. I accordingly enter judgment for the plaintiff and grant it the declaration asked for in terms of the plaint filed in this action, with costs.

Declaration as prayed.

For the plaintiff:

I Ishani

Ishani & Ishani, Kampala

For the defendant:

SH Dalal

Dalal & Singh, Kampala

The Motor Union Insurance Co Ltd v AK Ddamba

[1963] 1 EA 271 (HCU)

Division: High Court of Uganda at Kampala

Date of judgment: 29 March 1963

Case Number: 385/1962

Before: Jones J

Sourced by: LawAfrica

[1] Insurance – Motor insurance – Action for declaration that insurance company entitled to avoid policy – Allegations of non-disclosure and misrepresentation by insured – Accident – No action filed against insured by third party – Whether action for declaration competent – Traffic Ordinance, 1951, s. 104 (4) (U.).

[2] Insurance – Proposal – Disclosure of material facts – Proposal form filled in by agent of insurance company – Full disclosure to agent alleged – Whether disclosure of facts to agent can be imputed to insurance company.

Editor's Summary

The plaintiff, an insurance company, filed a suit against the defendant insured, under s. 104 (4) of the Traffic Ordinance, 1951, for a declaration that the company was entitled to avoid a motor insurance policy issued to him on the grounds that the same was obtained by non-disclosure of material facts and/or by representation of facts which were false in some particulars. For the defendant it was contended that the proceedings were incompetent until a judgment has been given in a case brought against the defendant as a result of which the defendant could claim to be indemnified under the policy of insurance. It was common ground that no action had been started against the defendant under the policy. The proposal form had been filled in by the plaintiff's agent and it was alleged that full and accurate disclosures were made orally to him by the defendant.

Held –

(i) the proviso to sub-s. (4) of s. 104 of the Traffic Ordinance, 1951, was not applicable as no action had been started against the defendant under the policy.

- (ii) the action was competent.
- (iii) the defendant's evidence was not truthful.

(iv) the plaintiff company's agent had no information other than that disclosed on the proposal form, but even if he had, that information could not be imputed to the plaintiff company.

Declaration granted as prayed.

Cases referred to in judgment:

(1) Newsholme Bros. v. Road Transport and General Insurance Co. Ltd., [1929] All E.R. Rep. 442; [1929] 2 K.B. 356.

(2) Bhagat Ram s/o Guran Ditta v. Eagle Star and British Dominions Insurance Co. Ltd. (1933), 15 K.L.R. 77.

Judgment

Jones J: This was an action by the plaintiff company for a declaration that they were entitled to avoid a motor insurance policy No. 360362 issued to the defendant on January 5, 1962, on the grounds that the policy of insurance was obtained by non-disclosure of material facts and/or by representation of facts which were false in some particulars.

I should perhaps deal with a preliminary point which Mr. Pandit raised. Mr. Van Tijn, in his opening, said the proceedings were instituted to protect the insurers as provided by s. 104 (4) of the Traffic Ordinance. Pandit argued that the proceedings are incompetent until a judgment has been given in a case brought against the defendant as a result of which the defendant could claim to be indemnified under the policy of insurance. He could not produce any authority, but relied on the ordinary meanings of the words in the section.

The section seems perfectly clear to me. If an insured person is involved in an accident with another person, he may be sued by that other person. If the suit is successful, then in the normal course of events the insurance company would be bound to pay under the existing policy of insurance with the insured.

This section, i.e. 104 (4) of the Traffic Ordinance, was designed to protect the insurance company if they bring an action either (a) before an action is started against the insured; or (b) within three months after it has been commenced; for a declaration that they are entitled to avoid the contract subsisting between them as there has been non-disclosure of a material fact or that there has been a representation of fact which was false in some material particular.

Once the insurance company has obtained such a declaration, they can produce such a declaration in any subsequent action taken under the policy against the insured and deny liability therefore.

No action has yet in fact been started against the defendant under this policy, so the proviso in sub-s. (4) of s. 104 of the Traffic Ordinance is not applicable.

I have no doubt this action is competent, and I so rule.

The following facts are not denied by the defendant:

On January 7, 1958, he had an insurance policy with Sterling General Assurance Company Limited in respect of a Simca car. That car was involved in two accidents involving claims; two discharge receipts in respect of the claims were signed by the defendant (Ex. 6 and Ex. 7).

On August 6, 1960, he took out an insurance policy with the Indian Trade and General Insurance Co. Ltd. in respect of a Ford Taunus saloon.

On December 22, 1961, he signed a proposal and declaration for an insurance policy in respect of the same car with the Motor Union Insurance Company. A policy was issued on the strength of the proposal form on January 5, 1962.

On March 9, 1962, at mile 3 on the Entebbe road Mr. Ddamba was involved in an accident with another vehicle. He put in a claim to the plaintiff company on the following day.

Something in the claim form put the plaintiff company on enquiry, and they instructed their advocates, Messrs. Russell & Co., to investigate. Mr. Ddamba was interviewed by Mr. Van Tijn of Russell & Co. He volunteered a statement (Ex. 8) in which he admitted that his driver had been involved in an accident in the Simca in 1958.

As soon as the plaintiffs knew of the claims history with Sterling Insurance Company, they sent a letter by registered post disclaiming liability to Ddamba (Ex. 3). It was returned unopened.

The plaintiffs claimed that in answer to the question in box 10 on the proposal form (Ex. 1) signed by him on December 22, 1961, he did not declare a material particular. Question 10 reads:

“Are you now or have you been insured in respect of any motor vehicle? If so, please state name of company or underwriter.”

“Answer – “Yes. Indian Trade and General Insurance Co. Ltd.”

The answer should have read, according to the plaintiffs:

“Yes. With the Sterling General in respect of my Simca, and the Indian Trade and General Insurance Co. Ltd.”

Further, in answer to the question 11 (b) –

“If so, for how many years up to this date have you previously been insured continuously without claim and with which companies?”

the proposal form reads:

“4. Companies as above”,

which the plaintiffs say is false, having regard to the statement made by the defendant to Russell & Co., the discharge certificates Exs. 6 and 7 and the evidence of Mankikar (P. 3), resident manager of Sterling General Insurance Co. They also complain that the answers to questions 12 and 14 are untrue.

The defence was that a man called Kamya

- (1) purported to be the agent of the insurance company;
- (2) told Ddamba that all he had to do was to answer questions in Luganda and that all he, the defendant, had to do was sign the completed form;
- (3) that he, Kamya, said that he would only record that which was really necessary;
- (4) that the defendant signed the form blindly, placing implicit faith in Kamya;
- (5) that full and accurate disclosures were made orally to Kamya, who was the agent of the plaintiff company.

It is admitted that the proposal form Ex. 1 was signed in Ddamba's house during lunch time on December 22, 1961. Wampamba (P. 1) and Kamya (P. 4) said in evidence that Ddamba asked P. 4 to fill in the form as he was about to have lunch. That sounds very natural and probable. Ddamba denied this, saying that Kamya wanted to assist him and volunteered to do so.

Kamya denied that Ddamba had told him of his two previous accidents, or that his previous insurers had asked him to pay the first £5 on any claim. Ddamba's advocate urged that as he had declared the matters quite voluntarily to Messrs. Russell & Co. in Ex. 8 after the accident on March 9, 1962, one ought to deduce that it was probable that he had mentioned it to Kamya on December 22, 1961.

Thirdly, P. 1 and P. 4 said Ddamba read Ex. 1 through before signing it.

Who, of the witnesses, is speaking the truth? Wampamba and Kamya were unshaken in cross-examination. Ddamba, on the contrary, appeared harassed under cross-examination and tried to fob off everything by saying that all this happened because everything was done in a hurry during lunch time. Apart from his demeanour, I am satisfied that Mr. Ddamba has not been speaking the truth as to what happened on December 22, 1961, for the following reasons:

He told Mr. Van Tijn that he had never completed a proposal form in his life, only signed one. Later on in his cross-examination he had to admit that he had filled the one he took out with the Indian Trade and General Insurance Co. Ltd.

Secondly, far from making a clean breast of things to Van Tijn in Ex. 8, he omits to mention the second claim arising out of an accident in October, 1958. The first was one in which his driver was involved, which he harped on, but seemed singularly anxious not to refer to the one in which he was involved.

I find, from the evidence before me, that –

- (1) Ddamba asked Kamya to fill in the proposal form.
- (2) Kamya filled in exactly what Ddamba told him.
- (3) Ddamba did not disclose that he had been insured with the Sterling General or that he had been involved in any accidents during the previous four years or that there were conditions on his policy.
- (4) He read the proposal form before he signed it. He is an intelligent man and knew the importance of speaking the truth. This was in fact the third proposal he had made within three years.

I also accept Fliess' (P. 2's) evidence that if he had known of Ddamba's previous claims history, he would have had to reconsider his position and either –

- (1) refuse to accept the risk; or
- (2) impose a possible £50 compulsory excess without a reduction in premium; or
- (3) refuse a 40 per cent. no-claim bonus.

In *Newsholme Bros. v. Road Transport and General Insurance Co. Ltd.* (1), [1929] All E.R. Rep. 442, Lord Scrutton said at p. 444:

“The contract of insurance requires the utmost good faith; the insurer knows nothing; the assured knows everything about the risk he wants to insure and he must disclose to the insurer every fact material to the risk.”

Had the proposer disclosed all the relevant and material information in the proposal form, the plaintiff company might very well have taken a different attitude to this risk.

It was claimed by the defendant that Kamya was the insurer's agent and therefore any knowledge he had was imputed to the company. I have decided that Kamya had no information other than that disclosed on the proposal form, but even if he had, the insurers would not be liable on the authority of *Newsholme Bros. v. Road Transport and General Insurance Co. Ltd.* (1).

“A proposal form was handed by the agent of an insurance company to a partner in the plaintiff firm who was minded to insure a motor omnibus, the property of the partnership, against damage by accident and third-party risks. In answer to three of the questions set out in the proposal form the partner gave the correct answers orally to the agent, but the agent wrote those answers on the form incorrectly, either because he had misunderstood or forgotten what the partner had told him or intentionally to earn a commission which otherwise he might not receive. The partner then signed the form, which contained a warranty that the answers were true and a statement that the warranty was promissory and should be the basis of the contract between insurers and assured. The company issued a policy and accepted a premium. An accident having occurred, the plaintiffs claimed to be indemnified under their policy, but the company repudiated the claim on the ground that the written proposal contained untrue statements.

“Held: the agent was not authorised by the company to fill in the proposal form and in doing so must be regarded as the agent of the proposer, and knowledge of the agent that the answers to certain questions in the form were not true was not notice to the company; the written contract alone could be looked at to ascertain the terms of the agreement between the parties; and, therefore, the company was not liable to meet the plaintiff’s claim.

“Per Greer, L.J.: The acceptance of the premium cannot be regarded as an agreement to vary the contract by inserting in it a promise to indemnify the assured if the statements contained in the proposal form are untrue, nor can the company be said to be estopped by the receipt of the premium from relying on the contract under which the premium was paid.”

In that case, it was held that the agent of the insurers was acting as an amanuensis of the proposer in the completion of the form, and that his knowledge of the true facts could not in such circumstances be imputed to the insurers. The proposal, accompanied by the signed warranty, was the basis of the contract in this case.

The decision in *Newsholme Bros. v. Road Transport and General Insurance Co. Ltd.* (1) was followed in *Bhagat Ram s/o Guran Ditta v. Eagle Star and British Dominions Insurance Co. Ltd* (2) (1933), 15 K.L.R. 77.

Whether Ddamba’s version of what happened on December 22, 1961, is accepted, or Kamya’s, on the authorities cited above the plaintiffs are entitled to the declaration they seek under para. 10 of their plaint, i.e. a declaration that they are and have at all material times been entitled to avoid the policy of insurance No. 360362 dated January 5, 1962, apart from any provisions contained therein on the ground that the said policy of insurance was obtained by the non-disclosure of material facts and/or by representation of facts which were false in some material particular.

I give them their declaration and the costs of this suit.

Declaration granted as prayed.

For the plaintiff:

Van Tijn

Russell & Company, Kampala

For the defendant:

SV Pandit

SV Pandit, Kampala

United Bus Service Ltd v The New India Insurance Co Ltd

[1969] 1 EA 242 (HCT)

Division: High Court of Tanzania at Mwanza

Date of judgment: 19 September 1968

Case Number: 1/1967 (5/69)

Before: Seaton J

Sourced by: LawAfrica

[1] Arbitration – Arbitration clause – Whether estoppel can operate to prevent reliance on.

[2] Contract – Misrepresentation – Proposal for insurance – Motor vehicle – Value of vehicle altered between proposal and acceptance – Law of Contract Ordinance (Cap. 433), s. 19 (1) (T.).

[3] Estoppel – Arbitration clause – Cannot be insisted on where party induced to file suit.

[4] Insurance – Motor vehicle – Insurable interest – Extends to interest of hire-purchase company.

[5] Insurance – Proposal – Misrepresentation – Value of vehicle altered between proposal and acceptance – Materiality – Law of Contract Ordinance (Cap. 433), s. 19 (1) (T.).

Page 243 of [1969] 1 EA 242 (HCT)

Editor's Summary

The plaintiff insured a bus with the defendant. After it was damaged the defendant gave instructions for repair, but subsequently cancelled these and repudiated liability on the grounds of a material misrepresentation of fact in the proposal form. The misrepresentation alleged concerned the value of the bus stated in the proposal to be Shs. 65,000/- but alleged to be over Shs. 100,000/-. In addition the defendant raised the further defences that the plaintiff had failed to submit the dispute to arbitration under the policy and that it was not entitled to recover because of the rights of the hire purchase company in the bus.

Held –

(i) the defendant's attitude had been such that the plaintiff reasonably inferred that a suit might be brought, and therefore the defendant was estopped from relying on the arbitration clause;

(ii) although the bus was insured only in the name of the plaintiff the policy extended to the hire purchase company's interest in it, and the plaintiff could sue in respect of loss or damage although the plaintiff would be a trustee for the hire purchase company of any sum recovered which exceeded the plaintiff's interest;

(iii) the bus was worth Shs. 65,000/- at the time of the proposal, but the plaintiff built a body on to it before the policy was issued increasing its value to Shs. 90,000/- and the answer as to its value was not therefore true, and the defendant was entitled to repudiate liability.

Suit dismissed.

Cases referred to in judgment:

- (1) London and North Western Rail Co. v. Glyn (1859), 1 E. & E. 652; 120 E.R. 1054.
- (2) Castellain v. Preston (1883), 11 Q.B.D. 380.
- (3) Reed v. Williamsburg City Fire (1883), 74 Me. 537.
- (4) Ryan v. Agricultural (1905), 188 Mass. 11.
- (5) Jureidini v. National British & Irish Millers Insurance Co. Ltd., [1915] A.C. 499.
- (6) Maurice v. Goldsbrough, [1939] 3 All E.R. 63.
- (7) Bowden v. Bank of America National Trust and Savings Association (1950), 224 P. 2d. 713.
- (8) Pandya v. Oriental Insurance Co., [1957] E.A. 21.
- (9) New Zealand Insurance Co. Ltd. v. Andrew Spyron, [1962] E.A. 74.
- (10) Shah v. South British Insurance Co., [1962] E.A. 131.

Judgment

Seaton J: The plaintiffs are a limited liability company operating a fleet of 18 buses in and between Ukerewe Island, Mwanza, Mara Region and Arusha. Their business office is in the town of Musoma. In June, 1965 they purchased a new Albion bus Registered Number MZB 144 which was partly financed by a hire purchase loan from the Credit Finance Corporation Limited of Nairobi. As had been their custom since 1952, they arranged to insure the new bus with the defendants through their Musoma agents. A proposal form was completed on May 18, 1965, which was sent by Mr K. K. Vasant, one of the defendants' Musoma agents, to the Dar-es-

Salaam office of the defendants' principal representatives in Tanzania. A policy of insurance was issued to the plaintiffs by the defendants dated July 26, 1965 indemnifying the plaintiffs against loss of or damage to the bus MZB 144 up to Shs. 65,000/-. On February 7, 1966 the bus overturned on the Musoma/Tarime road in the Mara Region and the plaintiffs informed the defendants. The latter at first gave instructions to have the bus repaired but subsequently

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cancelled those instructions and repudiated liability on the ground that there had been a material misrepresentation of fact by the plaintiffs in the proposal form.

This suit was commenced by the plaintiffs after repeated requests to the defendants to repair the bus had been unsuccessful. The bus was eventually repaired on the plaintiffs' own instructions. The plaintiffs claimed Shs. 27,000/- being the cost of those repairs plus Shs. 35,800/- damages for breach of contract, being the estimated loss of profits from non-use of the bus during the period its repair had been delayed. The defendants denied liability on the ground of material misrepresentation of fact as well as upon the plaintiffs' warranty of truth of the statements and particulars in the proposal form. The particular misrepresentation and false statements complained of were contained in replies to questions 1, 7 (a) and 7 (b) in the proposal form. It was alleged that by those replies the plaintiffs stated the value of the bus to be insured and its accessories as Shs. 65,000/-, whereas the value was over Shs. 100,000/-. An additional ground of defence was the plaintiffs' failure to submit this matter to arbitration as required by the insurance contract. It was also denied that the plaintiffs are entitled to sue under the contract because of Endorsement No. 15 of the insurance policy relating to the hire purchase agreement or that the defendants have any right to any monies payable under the contract. In reply, the plaintiffs contended that the defendants' repudiation of the contract has in effect estopped them from relying on the arbitration clause therein.

It may be convenient to set out here the most relevant questions and answers of the proposal form and clauses of the insurance contract. They are as follows:

THE PROPOSAL FORM

“Question

No. 1 Particulars of Vehicles to be insured

Registered Number and Letters	Description and Maker's Name	Type of Body	Engine
c.c.	Year of Make	Carrying	
capacity	Proposer's estimate of (1) present value and (2) accessories		
	Persons	Goods	

New MZB 144 Albion CD 23 ALW Clydesdale Engine No. 400/1Y3 A/ 100 Bus
6540 1965 59 passen-gers Passenger luggage (1) Shs. 65,000/-
Shs. 65,000/-

Question

No. 7 (a) Is the vehicle your sole and absolute

property? No, under H.P. Agreement with C.F.C.

(b) Date of purchase by you, the price paid and whether new or second-hand? June,
1965, New

Shs. 65,000/-.

THE INSURANCE POLICY

Preambular Clause

“Whereas the Insured by a proposal and declaration which shall be the basis of this contract and is deemed to be incorporated herein has applied to the Company for the insurance hereinafter contained and has paid or agreed to pay the Premium as consideration for such insurance.

Now this Policy Witnesseth:

That in respect of events occurring during the Period of Insurance and subject to the terms exceptions and conditions contained herein or endorsed hereon (hereinafter collectively referred to as the Terms of this Policy):

Loss or Damage

1. The company will indemnify the Insured against loss or damage to the Motor Vehicle and its accessories and spare parts whilst thereon

(a) by accidental collision or overturning or collision or overturning consequent upon mechanical breakdown or consequent upon wear and tear;

(b) by fire external explosion self-ignition or lightning or burglary housebreaking or theft;

(c) by malicious act;

(d) whilst in transit (including the processes of loading and unloading incidental to such transit), by road rail inland waterway lift or elevator.

2. At its own option the company may pay in cash the amount of the loss or damage or may repair reinstate or replace the Motor Vehicle or any part thereof or its accessories or spare parts. The liability of the Company shall not exceed the value of the parts lost or damaged and the reasonable cost of fitting such parts. The Insured's estimate of value stated in the Schedule shall be the maximum amount payable by the Company in respect of any claim for loss or damage.

Conditions

9. All differences arising out of this Policy shall be referred to the decision of an Arbitrator to be appointed in writing by the parties in difference or if they cannot agree upon a single Arbitrator to the decision of two Arbitrators one to be appointed in writing by each of the parties within one calendar month after having been required in writing so to do by either of the parties or in case the Arbitrators do not agree of an Umpire appointed in writing by the Arbitrators before entering upon the reference. The Umpire shall sit with the Arbitrators and preside at their meetings and making of an Award shall be a condition precedent to any right of action against the Company. If the Company shall disclaim liability to the Insured for any claim hereunder and such claim shall not within twelve calendar months from the date of such disclaimer have been referred to arbitration under the provisions herein contained then the claim shall for all purposes be deemed to have been abandoned and shall not thereafter be recoverable hereunder.

10. The due observance and fulfilment of the Terms of this Policy insofar as they relate to anything to be done or not to be done by the Insured and the truth of the statements and answers in the proposal shall be conditions precedent to any liability of the Company to make any payment under this Policy.

Endorsements

Endorsement No. 1

ATTACHED to and forming part of Policy No. KJ/MVC/6440

Excess all Claims.

It is hereby understood and agreed that notwithstanding anything to the contrary contained in Sections I, II and III of this Policy the Insured in respect of each and every event shall be responsible for the first Shs. 2,000/- (or any less expenditure which may be incurred) of any expenditure for which provision is made thereunder (including any payments in respect of cost and expenses) and of any expenditure by the Company in the exercise of its discretion under Condition 5 of this Policy.

If the expenditure incurred by the Company shall include the amount for which the Insured is responsible hereunder such amount shall be repaid by Insured to the Company forthwith.

For the purpose of this endorsement of express 'event' shall mean an event or series of events arising out of one cause in connection with any one motor vehicle in respect of or in connection with which indemnity is granted under this Policy.

Endorsement No. 15

Hire Purchase Agreement

It is hereby understood and agreed that Credit Finance Corporation Ltd. (hereinafter referred to as the owners) are the owners of the Motor Vehicle and that the Motor Vehicle is the subject of a Hire Purchase Agreement made between the Owner of the one part and the Insured of the other part and it is further understood and agreed that the Owners are interested in any monies which but for this Endorsement would be payable to the Insured under this Policy in respect of loss of or damage to the Motor Vehicle (which loss or damage is not made good by repair reinstatement or replacement) and such monies shall be paid to the Owners as long as they are the Owners of the Motor Vehicle and their receipt shall be a full and final discharge to the Company in respect of such loss or damage.

Save as by this Endorsement expressly agreed nothing herein shall modify or affect the rights and liabilities of the Insured or the Company respectively under or in connection with this Policy."

The premium paid was Shs. 3,600/- and the period of insurance was from June 28, 1965 to June 27, 1966.

The issues as agreed were as follows:

1. Has the plaintiff company cause of action under exhibit "A" of the plaint under endorsement No. 15 hire purchase agreement and/or entitled to sue the defendant company thereon?
2. Is the plaintiff company's suit against the defendant company premature in pursuance of condition 9 arbitration clause of exhibit "A" of the plaint as per pleadings?
3. Was exhibit "A" issued by the defendant company on the basis of the proposal form and upon reliance thereon and the truth of the statements contained therein? If so, were the representations of fact contained in answers to question 1 and question 7(b) of the proposal form true?
4. If not, is the defendant company entitled to repudiate its liability thereunder according to pleadings?

5. If not, has the plaintiff company suffered damage to vehicle MZB 144 in the sum of Shs. 27,000/- as alleged and if not what is the value of damage?

6. Is the plaintiff company entitled to claim loss of profits? If so, at Shs. 100/- per day as alleged?

7. To what reliefs either party is entitled?

The Court has had the benefit of lucid and able presentation by learned counsel and after hearing the testimony and reading the documents submitted on behalf of both parties, has come to the following conclusions:

As to the first issue: the Hire Purchase Agreement between the plaintiffs and C.F.C. was made on June 11, 1965. It described the plaintiffs as the hirers and C.F.C. as the owners of the bus MZB 144 and provided for the hire rental with option of purchase by the plaintiffs of the bus MZB 144, the total purchase price of which was described as Shs. 65,275/-. The sum of Shs. 26,100/- paid by the plaintiffs on the signing of the agreement was to be credited to the hirer only in the event of such option to purchase being exercised by him. The plaintiffs agreed to pay eleven consecutive monthly hire rentals of Shs. 3,591/- per month and a final twelfth hire rental of Shs. 3,611/-. These payments were to commence on June 28, 1965.

By clauses 2 (d) and (c) of the Agreement the plaintiffs agreed to keep and maintain the bus and all parts thereof in good order, repair and condition and to carry out all repairs and replacement at their own cost. By clauses 2 (f) and (g), the plaintiffs agreed to be responsible for the loss or destruction of or damage to the bus and to repay C.F.C. on demand any costs, charges or expenses paid by them for or arising out of or in connection with the repair of the bus. By clause 2 (h) the plaintiffs agreed to insure the bus with an insurance company approved by the owners under a comprehensive policy of insurance against all risks and irrevocably appointed C.F.C. as their sole agents and the only persons to receive all monies payable under any such insurance and to negotiate, agree or compromise with the insurance company as to the amount so payable and to institute proceedings whether in the name of the plaintiffs or otherwise for the recovery of such monies and to give an effectual receipt and discharge to the Insurers.

The bus MZB 144 was duly insured with the defendants in a comprehensive commercial vehicle policy for the period June 28, 1965 to June 27, 1966. Exhibit "A" contained inter alia endorsement No. 15 which has been set out above. The certificate of registration indicates that the bus MZB 144 was registered in the joint names of the plaintiffs and C.F.C. on July 3, 1965, and it was released to the plaintiffs on July 19, 1966. The present suit was filed on February 14, 1967.

The advocate for the defendants has submitted that if any one is entitled to bring the present suit, it is C.F.C. and not the plaintiffs. He has urged that in order to determine the right to sue, only the plaint should be looked at, including exhibit "A" with its conditions and endorsements.

Endorsement 15 specifically states that the ownership of the vehicle is vested in C.F.C. so long as there is money due. Paragraph 12 of the written statement of defence pointed out that according to this endorsement, the plaintiff had no cause of action under the policy and the plaint should be dismissed. As the plaintiffs did not, in their reply, state the fact that the bus MZB 144 is no longer subject to the hire purchase agreement but merely joined issue on this point, the plaintiffs could not lead evidence to fill the gap in the pleadings in order to establish a cause of action. In support of his contention, the advocate for the defendants relied on Goode's Hire Purchase Law and Practice (1962), pages 330 – 332 and Shawcross' Motor Insurance, 2nd Edn., pages 633 – 634.

The advocate for the plaintiffs submits that no cause of action arose under the policy until the defendants refused to have the bus repaired or to pay for the repairs. The effect of endorsement 15 was not to take away the plaintiffs' right to sue under the policy but to provide a full discharge to the defendants had they exercised their option to pay cash to C.F.C. for repairs to the bus that had been carried out. Alternatively, he submitted that the plaintiffs as the insured being in possession of the bus had a right to sue. In support of his contention, he cited *Pandya v. Oriental Insurance Co.*, [1957] E.A. 21 and *McGillivray on Insurance Law* at paragraph 454.

It seems to be the view, according to Goode, *op. cit.*, at pages 330 and 332, that the sum recoverable by the hirer under a policy in the event of loss of or damage to the goods depends upon whether he is insured for his own interest alone or whether the policy in his name extends also to the owner's interest in the goods. In the latter event the hirer can sue the insurers but he is a trustee for the owner for such part of the sum recovered as exceeds his interest. Where an endorsement is assented to by the hirer as in the present case, it may constitute evidence of the hirer's intention to insure for the owner's interest as well as for his own so as to entitle the owner to make a claim in his own name direct against the insurers.

The cases of *Castellain v. Preston* (1883), 11 Q.B.D. 380; *Maurice v. Goldsbrough*, [1939] 3 All E.R. 63; and *London and North Western Rail Co. v. Glyn* (1859), 1 E. & E. 652 are cited by Goode as supporting the above propositions. The last-mentioned case was not available but this Court has derived some benefit from perusing the first two of the above-mentioned cases. In *Castellain v. Preston*, a judgment of the English Court of Appeal which dealt with fire insurance, where a vendor received the purchase price of a house that had burnt down, it was held, in an action by the insurer against the vendor, that the insurer was entitled to recover from the vendor for their own benefit a sum equal to the insurance money which had been paid to the vendor. In his judgment, with which Cotton and Bower, LL.J., concurred, Brett, L.J., stated as follows:

"In order to give my judgment upon this case, I feel obliged to revert to the very foundation of every rule which has been promulgated and acted on by the Courts with regard to insurance law. The very foundation, in my opinion, of every rule which has been applied to insurance law is this, namely, that the contract of insurance contained in a marine or fire policy is a contract of indemnity, and of indemnity only, and that this contract means that the assured, in case of a loss

against which the policy has been made, shall be fully indemnified, but shall never be more than fully indemnified. That is the fundamental principle of insurance, and if ever a proposition is brought forward which is at variance with it, that is to say, which either will prevent the assured from obtaining a full indemnity, or which will give to the assured more than a full indemnity, that proposition must certainly be wrong.”

In *Maurice v. Goldsbrough* the issue was whether the insurance, being in the usual form of cover for bailees and warehousemen, covered the profits on the wool or only the value of the wool. It was held that the profits could not be covered unless expressly referred to. Lord Wright, delivering the judgment of the Privy Council, distinguished between the subject matter which was insured under the policy and the assured’s interest in the subject matter and commented as follows:

“The subject matter, for the purposes of the present policy, is the merchandise – that is the wool – which is insured against the risk of physical loss or damage by fire. While, however, the subject matter of the insurance is the chattel, the basis of the insurance is that the assured stands in such relation to the chattel that he may be prejudiced by its loss or damage, in accordance with the various principles which have been settled for regulating what constitutes insurable interest.”

Shawcross lays down, at pages 633–634, in terms similar to *Goode*, the general principles applicable but insists on the importance of having regard to the facts and the wording of the endorsement in each particular case.

Pandya v. Oriental Insurance Co., [1957] E.A. 21 is of some general interest in this case since it also involved an insurance company and a hire purchase agreement. In that case, however, the contest was between the owners under the hire purchase agreement and the insured and it was held that the owners had an independent right of action if monies became payable under the policy. In the case cited, the policy had not yet been issued but the cover-note stated that both the hirer and the owners were insured.

According to *McGillivray*, paragraph 454, where by the terms of a hire purchase agreement, the whole risk is on the hirer, he can recover to the full value of the property, notwithstanding that the property remains with the owner. Three American cases – *Ryan v. Agricultural* (1905), 188 Mass. 11, *Reed v. Williamsburg City Fire* (1883), 74 Me. 537, and *Bowden v. Bank of America National Trust and Savings Ass.* (1950), 224 P. 2d 713 – are cited as supporting this proposition. This Court has not had the opportunity of perusing the three last mentioned cases. However, the proposition deduced by *McGillivray* therefrom would seem to be consistent with *Castellain v. Preston* and *Maurice v. Goldsbrough* from which extracts have been quoted above.

I am of the view that although the plaintiffs in the present case were insured in their name alone, the policy extended also by virtue of endorsement 15 to C.F.C.’s interest in the bus MZB 144. However, since under clause 2 (f) of the hire purchase agreement the whole risk of the bus was upon the plaintiffs, notwithstanding that the property remained with C.F.C., the plaintiffs can sue

the defendants for breach of their contract to indemnify them against loss of or damage to the bus. In the event of success in such claim against the defendants, the plaintiffs would be a trustee for C.F.C. for such part of the sum recovered as exceeds their interest. The first issue is accordingly decided in favour of the plaintiffs.

As to the second issue: under condition 9 of the policy all differences “arising out of” the policy were to be referred to the decision of an arbitrator; if the defendants should disclaim liability to the plaintiffs for any claim under the policy and such claim had not been referred to arbitration, it should be deemed to have been abandoned and should thereafter be irrecoverable. The defendants’ advocate drew a distinction between repudiation of the whole of the policy and repudiation of liability to pay the amount claimed under the terms of the policy. In the present case, he contended, the defendants’ repudiation fell within the latter category; the arbitration clause is a condition precedent to the institution of legal proceedings and, as it had not been complied with, the suit is premature. He referred to numerous authorities in support of these contentions.

For the plaintiffs, the advocate submitted that the denial of liability by the defendants was on grounds which went to the root of the contract, hence they were not entitled to seek relief under one of its subsidiary clauses which provided for arbitration. In any event, the obligation to submit to arbitration rested equally upon the defendants, he contended, yet never had they invoked the arbitration clause until after the suit had been filed; this amounted to a waiver of the arbitration clause and the defendants were estopped from seeking relief thereunder.

The correspondence between the parties on the question of arbitration was not extensive. On October 11, 1965 the plaintiffs’ advocate wrote to the defendants’ advocate observing that his clients’ claim to be indemnified under the terms of the policy appeared to have been repudiated and he requested to know precisely under what conditions or provisions of the policy the defendants relied in repudiating the claim. On October 22, the defendants’ advocates replied that:

“The claim has been repudiated (inter alia) on the grounds of non-disclosure and/or misrepresentation, and all the terms concerning such non-disclosure or misrepresentations, contained in the proposal form, and/or the policy and/or the claim form in that behalf.”

By letter dated October 28 the plaintiffs’ advocate replied that it seemed the defendants repudiated the policy as a whole; accordingly the arbitration clause was equally repudiated and he proposed to advise his clients to institute proceedings in the courts unless the defendants informed him within ten days that they were prepared to fully indemnify the plaintiffs. The defendants never replied directly on the question of arbitration but confirmed on November 22 that the defendants “repudiated their liability in terms of the policy”.

I have referred to the authorities cited, including *Jureidini v. National British and Irish Millers Insurance Co. Ltd.*, [1915] A.C. 500; *Shah v. South British Insurance Co.*, [1962] E.A. 131; *New Zealand Insurance Co. Ltd. v. Andrew Spyron*, [1962] E.A. 74; and the standard text writers on

this subject. It appears to me that the repudiation by the defendants was on the ground that apparent consensus ad idem was vitiated by misrepresentation or non-disclosure; that the consequent refusal of the defendants to honour their obligation to indemnify the plaintiffs for loss of or damage to the bus MZB 144 was a difference "arising out of" the policy, the submission of which to arbitration was a condition precedent to a right of action against the defendants; that the defendants had by their conduct in correspondence through their advocate taken an attitude which the plaintiffs might reasonably infer to be a representation that for the purpose of determining liability a suit might be brought without first going to arbitration; that the plaintiffs had acted on such a representation to their prejudice if arbitration as a condition precedent is insisted upon; and as a result waiver by estoppel would arise. Accordingly, on the second issue, I find in favour of the plaintiffs.

As to the third issue: the proposal for the contract of insurance was made by the manager/accountant of the plaintiffs' company. His duties were to purchase vehicles and motor spares, to negotiate documents, to settle claims, to settle disputes, to maintain relations in case of accidents, to go on site and to act accordingly as necessary and to maintain books of account and relevant documents. This witness, who gave his testimony with commendable candour, testified that since 1952 the plaintiffs had taken out not less than 400 insurance policies with the defendants through their Musoma agents. During 1966, the plaintiffs' whole fleet of 18 buses were insured with the defendants; this figure did not include cars and landrovers which the plaintiffs also operated. In 1965 the bus MZB 144 was purchased in Nairobi from Leyland Albion (E.A.) Limited. After the vehicle came to Musoma, the witness gave the chassis number and other registration particulars to Mr K. K. Vasant, the defendants' agent in Musoma, so that he might issue a comprehensive policy. These particulars were filled in on the proposal form by Mr Vasant and it was signed by the witness. The witness could not recall whether he had instructed Mr Vasant regarding these particulars by telephone or by leaving with him the hire purchase agreement.

Question No. 1 in the proposal form referred to the proposer's estimate of (i) present value of and (ii) accessories on the vehicle to be insured. The answer given to this question in the last column of the proposal form was: "Shs. 65,000/-". Question No. 7 (a) in the proposal form inquired whether the vehicle was the sole and absolute property of the proposer, to which the answer was given: "No, H.P. Agreement with C.F.C." Question 7 (b) in the proposal form inquired as to the date of purchase of the vehicle, the price paid and whether it was new or second-hand. To this question, the answer was "June, 1965, new, Shs. 65,000/-". The proposal form was signed on May 18, 1965. A cover-note was signed by Mr K. K. Vasant in respect of the vehicle identified by engine and chassis number, at the declared value of £3,250 with an excess of £100. The period covered by the interim cover-note was June 28, 1965 to July 27, 1965.

On July 2, 1965 another cover-note was issued referring to the previous cover-note and the engine and chassis number of the vehicle which in effect extended the period of coverage from July 2, 1965 to August 2, 1965. The witness went to Nairobi with the first cover-note, apparently

to complete the purchase of the bus and financing arrangements with C.F.C. The second cover-note was required to effect the registration of the vehicle of which, by July 2, 1965, delivery had been taken by the plaintiffs. After registering the vehicle, Mr K. K. Vasant was informed that its number was MZB 144 and this number was subsequently inserted in the proposal form in a different ink and handwriting than the other particulars therein.

The witness testified that Shs. 65,275/- was the purchase price of the bus from Leyland Albion (E.A.) Limited. On July 26, 1965 the defendants issued a certificate of insurance in respect of the insurance of bus MZB 144, the period of which commenced on June 28, 1965 and expired on June 27, 1966. Subsequently the policy itself was received by the plaintiffs. The policy indicated that the amount for which the bus was insured was Shs. 65,000/- and that this was also the insured's estimate of its value including accessories and spare parts. However, Shs. 65,000/- represented the price of the chassis and cab of the vehicle as purchased from Leyland Albion (E.A.) Limited less a discount of 5 to 7½ per cent. After purchase, the plaintiffs had a bus fitted on to the chassis at a cost of about Shs. 25,000/-. The total cost of the bus MZB 144 was therefore in the region of Shs. 96,000/- and the witness agreed that this latter figure, rather than Shs. 65,000/-, was the true market price.

The witness testified that the body of the bus MZB 144 was built on during the month of June, before the insurance policy had been issued. He did not inform Mr K. K. Vasant of the addition to or increase in value of the bus and the defendants made no inquiry regarding this particular matter. According to the witness, Mr K. K. Vasant had been the plaintiffs' insurance agent on behalf of the defendants since 1952; all of the plaintiffs' insurance policies for their fleet of buses and other vehicles were taken out through him and their usual procedure was to give him the chassis and engine number and a copy of the hire purchase agreement, if any, from which the other particulars in the proposal form would be filled in. In regard to question 7 (b) in the proposal form, the witness provided the information to Mr Vasant that the cost of the vehicle to be insured was Shs. 65,000/- and he intended to insure the whole bus and not just the chassis and the engine. The witness knew that for a comprehensive insurance such as he desired, the rate of insurance premium would depend on the value of the vehicle.

Ajit Singh Choda, a partner in the firm of Choda Brothers, bus body builders of Nairobi, testified that for the body built on to the chassis of bus MZB 144, his firm charged the plaintiffs Shs. 25,000/-. Chandi Ram Isherdas, the managing director of the plaintiffs, testified that the purchase price paid for the bus MZB 144 was Shs. 65,275/- and the price paid for the body subsequently constructed was Shs. 24,000/-. The total price of the bus was, therefore, Shs. 89,275/-. It appears that on February 16, 1966, after the accident in which the bus was injured, a claim form was submitted to the defendants. In this claim form, which was made out by the manager/account and signed by the managing director, the question 4 (d) "Price paid by the insured" was answered "Shs. 65,000/-".

Babubhai Champaklal Tolat was the defendants' resident representative in Tanzania from May 5, 1965 to July 31, 1967. It was he who initialled the cover-note after receiving the proposal form in the defendants' representatives' office in Dar-es-Salaam on May 25, 1965. On July 8, 1965 the Dar-es-Salaam office received the second cover-note and on July 14, 1965 a letter from Mr Vasant stating the registration number of the vehicle to be MZB 144, and requesting the policy to be issued "at your earliest". In pursuance thereof, the insurance policy was issued. The premium charged, Shs. 3,600/-, was computed on the basis of a bus with carrying capacity for 59 passengers valued at Shs. 65,000/-, i.e. at a rate of Shs. 2,080/- for a bus with carrying capacity of 26 passengers valued at Shs. 8,000/-, Shs. 1,425/- for the difference between the declared value and Shs. 8,000/-, that is Shs. 57,000/-; Shs. 495/- for the difference in number of passengers between 59 and 26, that is 33; plus 10 per cent F.D. at Shs. 400/-. After issuing the insurance policy on July 6, 1965 the defendants certified to C.F.C. that the value of the vehicle insured was Shs. 65,000/-.

According to Tolat the defendants had no knowledge that the cost of an Albion bus was Shs. 90,000/- or that the market price of this particular bus was more than Shs. 65,000/- until after the accident. He could not agree that Shs. 65,000/- was correct even as an estimate of the value of a bus worth in the region of Shs. 96,000/-. The defendants' maximum limit for the value of a vehicle insured was Shs. 75,000/-. If the value of the vehicle proposed to be insured was in excess of this value, the defendants would prefer not to underinsure it to the extent of Shs. 75,000/-, because not only would they be deprived of the additional premium but they would be incurring more liability. He admitted that during 1965 the defendants had insured another vehicle of the plaintiffs to the value of Shs. 90,000/-. He explained that the insurance policy dated March 6, 1965 in respect of the bus MZA 697 had been insured during a period when, unfortunately, the defendants had no resident representative in Tanzania. Tolat's predecessor had left in November, 1964, and he himself only arrived in May, 1965. Hence the policy had been issued by the insurance clerk of the department. The premium charged for it had been Shs. 3,955/-, its carrying capacity being 60 passengers. It was not the procedure of the defendants to inspect a vehicle before issuing an insurance cover-note, reliance being placed on the correctness of the information contained in the proposal form.

The advocate for the defendants has pointed out that from the recital in the policy the proposal and declaration formed the basis of the insurance contract and were incorporated in the policy; and from condition 9 of the policy, the truth of the statements and answers in the proposal is made a condition precedent to any liability of the defendants to make any payments under the policy. He argued that it is abundantly clear from the evidence that the correct value of the bus MZB 144 was Shs. 90,000/- or more and not Shs. 65,000/- as stated in the proposal form. The agent, Mr K. K. Vasant, was, he submitted, for the purposes of filling in or assisting in the proposal form or deriving knowledge, an agent of the proposer not of the insurance company. He referred to *Shawcross*, *op cit.*, *McGillivray*, *op cit.*, *General Principles of Insurance Law* by E. R. Hardy Ivamy and decided cases.

The advocate for the plaintiffs submitted that on May 18, 1965 what the plaintiffs insured was a vehicle whose value was Shs. 65,000/-. This was a true statement of fact when made in answer to the questions in the proposal form. Had further queries been made, the plaintiffs would give full information. As none were made, and the defendants issued the policy on the basis of the proposal form, they were estopped from saying that they understood Shs. 65,000/- to be the value of the vehicle together with the body. The policy contained no clause that it should be a condition precedent that the vehicle should be insured to its full value. This is, he contended, a case of under-insurance, not of mis-statement or misrepresentation of fact. The advocate also suggested that there was a possibility that the second cover-note was issued by mistake, that the registration number MZB 144 was inserted in the proposal form by mistake and two insurance policies were issued on the same day, and another policy, in which values and premiums were juxtaposed. He referred to Halsbury's Law of England and other authorities.

On the evidence, I find that the policy was issued by the defendants on the basis of the proposal form and upon reliance thereon and the truth of the statements contained therein. As to questions 1 and 7 (b), the representations of facts were literally true in the sense that at the time made, i.e. May 18, 1965, the "present value" of the vehicle was Shs. 65,000/- since it consisted only of chassis and engine and the purchase price of same was only Shs. 275/- more than that stated. The representations of fact were also true in the sense that they represented the value of the amount for which the plaintiffs proposed to insure the vehicle. But the answers to questions 1 and 7 (b) were not true representations of the actual value or market price of the bus MZB 144 by the time the insurance policy was issued in respect thereof.

As to the fourth issue: the insurance contract between the plaintiffs and the defendants is governed by the Law of Contract Ordinance, Cap. 433. [The learned judge set out ss. 10, 14, 18, 19, 20 and 22 of the Ordinance and continued:]

Our Law of Contract Ordinance is based on the Indian Contract Act 1872, which itself was a replica of the English Law of Contract up to that time, some-what simplified and altered in minor particulars. Commenting on the English Law, Shawcross suggests (at pp. 419–420, *op cit.*) that the result in practice of including in the insurance policy terms such as the recital clause and condition 10 of exhibit "A" is to make the statements in the proposal form become terms of the contract itself; the far-reaching effects of this "elevation of representations into warranties" are to make the degree of mis-statement immaterial; the question of the materiality of the mis-statement or the non-disclosure in questions is irrelevant; and the insurers are entitled to repudiate liability on the ground of breach of the terms of the insurance contract itself and are not obliged to go outside the contract to the Common Law of mis-representation or non-disclosure which must operate as inducement or as to the materiality respectively.

Hardy Ivamy states (at pp. 108–109, *op. cit.*) that if a statement of fact made by the assured, in the discharge of his duty of disclosure, is accurate, when applied to the circumstances to which it was intended to apply, the assured has discharged his duty, notwithstanding that it may be shown

to be inaccurate when considered with other circumstances to which it was never intended by either party to apply; and (at p. 122) the fact that the answer is literally true does not protect the assured where the statement is nevertheless false when taken in relation to other relevant facts which are not stated.

McGillivray points out (at p. 876, *op. cit.*) that the assured's duty is absolute to disclose everything within the knowledge of himself or his agent which would affect the judgment of a rational insurer governing himself by the principles and calculations on which insurers do in practice act, and which might thereby induce such an insurer either to refuse the insurance altogether or to add an extra to the premium; and (at p. 919) the material date up to which full disclosure must be made is the moment when a binding contract is concluded.

In the present case, it would appear from the evidence that the insurance contract commenced on June 28, 1965. Before this date, the value of the vehicle to be insured rose from Shs. 65,000/- to at least Shs. 89,000/-. It is said by the defendants that knowledge of this extra valuation would have affected their judgment as to whether to refuse the insurance; it would certainly have added an extra amount to the premium. Most of the reported cases involve overvaluation and it is well known that insurers frequently refuse a risk on the ground that it is speculative. In the present case, it is not suggested that the under-valuation was fraudulent. Its explanation may be that the plaintiffs are concerned only to discharge their obligation to C.F.C. to insure the vehicle under a comprehensive policy. There was testimony that in purchasing new vehicles, it was necessary to obtain comprehensive insurance for the first twelve months because of the finance company's requirements. On the other hand, if a vehicle was purchased by trading in an old one, the plaintiffs would only take out a third party insurance. After the hire purchase agreement had been paid off, the plaintiffs would convert the insurance policy to a third party type.

It seems to me that the positive assertions by the plaintiffs in answer to questions I and 7 (b) of the proposal form, though literally true, were false when taken in relation to the fact that a body was to be built on to the bus costing Shs. 24,000/-; that the plaintiffs were under a duty by virtue of the recital clause and condition 9 of the policy to disclose to the defendants the true value or actual market price of the vehicle to be insured at the material date, i.e. June 28, 1965, when the binding contract was concluded; that the plaintiffs thereby misled the defendants into consenting to issuing the policy which they would otherwise have declined to do; and this was to the advantage of the plaintiffs since the consequences were that the cover-notes were issued, the hire purchase agreement was concluded, the sale completed and registration effected on the strength of the defendants consenting to issue the insurance policy, I, therefore, find in accordance with s. 19 (1) of the Law of Contract Ordinance that the contract of insurance was voidable at the option of the defendants,

[The learned judge then went on to deal with other issues.]

Suit dismissed

For the plaintiff:

DN Parekh

DN Parekh, Mwanza

For the defendant:

NP Dhanani

VP Dhanani, Mwanza

South British Insurance Co Ltd v Samiullah

[1967] 1 EA 659 (CAN)

Division: Court of Appeal at Nairobi

Date of judgment: 7 July 1967

Case Number: 3/1967 (141)

Before: Charles Newbold P, Sir Clement de Lestang VP and Law JA

Sourced by: LawAfrica

Appeal from: The High Court of Kenya at Nairobi – Miles, J.

[1] Contract – Waiver – Of right to repudiate contract of insurance obtained by concealment – Whether waiver to be implied from delay in repudiation after true facts known.

[2] Insurance – Repudiation of policy – Policy obtained by concealment – Insurer delays after becoming aware of true facts – Whether delay amounts to waiver of right to repudiate.

[3] Practice – Pleading – Amendment – Effect of – Whether amendment of plaint relates back to date of original plaint – Whether such relation back (if it exists) operates to preclude court from taking notice of date of amendment if such date is material.

Editor's Summary

The respondent had a motor policy with the appellant insurance company, covering his car against theft, which policy expired on November 7, 1964. On November 20, 1964 the respondent learnt that his car had been stolen, and later that day he went to the offices of the appellant and handed over a cheque for the renewal premium which he had been told would be a condition precedent to the issue to him of a new policy valid from November 7. Still later on November 20 the respondent, having collected his new policy, notified the appellant that he wanted to make a claim as his car had been stolen. A Mr. Hicks, the manager of the appellant's motor insurance department, there and then concluded from what he was told by the respondent that the respondent must have known that the car had been stolen before receiving the new policy.

Instead of repudiating the policy, however, the appellant later wrote to the respondent rejecting the claim as not coming within the policy; and later still the appellant cashed the respondent's cheque for the premium and after a further lapse of time on May 10, 1965, it paid the respondent the amount of his claim. The appellant then, on May 20, 1965, sued the respondent in the High Court claiming the return of the amount paid. The plaint as originally framed alleged that no theft had in fact occurred and that the money was paid over on a fraudulent representation by the respondent that the car had been lost by theft; but in November, 1965 the plaint was amended to allege in the alternative that the appellant was entitled to avoid the policy because it had been obtained by the respondent wrongfully concealing that the car had been stolen before the insurance had been effected. At the trial the appellant conceded that the car had in fact been stolen. The trial judge found that at the time he got the policy the respondent knew of the theft which would have entitled the appellant to repudiate, but in the circumstances the appellant had waived its right to repudiate, relying inter alia on the delay in amending the plaint. The appellant appealed and the respondent cross-appealed. One of the points argued by the appellant was that the amended plaint related back to the date of the original plaint so that the judge should not have found that there was a delay in repudiating the policy amounting to a waiver.

Held –

(i) even if an amended plaint does relate back to the date of the original plaint for some purposes, such relation back cannot operate so as to preclude a judge from taking note of the date of the amendment if such date is material to the issues for decision (as it was in this case);

(ii) on the facts the trial judge should have found that the appellant had knowledge on the day when the insurance was effected that the respondent had concealed a material fact before the contract of insurance was effected;

(iii) that from that moment, or a reasonable time thereafter, the appellant should have repudiated the policy;

(iv) that when it paid the claim the appellant had constructive notice (through Hicks) of the facts and could not recover the money (*Bilbie v. Lumley* (2) applied).

Appeal dismissed. Cross-appeal allowed.

Cases referred to in judgment:

(1) *Eastern Radio v. Patel*, [1962] E.A. 818.

(2) *Bilbie v. Lumley* (1802), 2 East 469; 102 E.R. 448.

Judgment

Law JA: This is an appeal against the judgment and decree of the High Court of Kenya in Civil Case No. 121 of 1965. The plaint in that suit was filed on May 20, 1965, and it claimed from the defendant the sum of Shs. 9,800/- which the plaintiffs, an insurance company, had paid to the defendant on May 10, 1965, under a policy of motor insurance, on the footing that the motor car, the subject of the said policy, had been lost by theft. The plaintiffs alleged that no theft had in fact occurred, and that the money was paid over on a fraudulent representation made by the defendant that the vehicle had been lost by theft. On November 25, 1965, leave of the court having been obtained, an amended plaint was filed containing an alternative cause of action alleging that at the time the insurance was effected the defendant wrongfully concealed from the plaintiffs a material fact then known to him but unknown to the plaintiffs, namely that the vehicle had been stolen to his knowledge prior to the insurance being effected. The plaintiffs accordingly claimed that they were entitled to avoid the contract of insurance and to recover the sum of Shs. 9,800/- paid thereunder. The claim based on a fraudulent misrepresentation was not abandoned until the very end of counsel for the plaintiffs' opening address at the trial of the suit, when he conceded that the car had in fact been stolen. The following agreed issues were then framed:

- “1. When was the contract completed?
2. Did the defendant conceal a material fact prior to the completion of the contract?
3. If the answer to issue 2 is in the affirmative, did the plaintiffs waive such concealment or are they estopped from relying thereon?”

The learned trial judge found that the contract was concluded on the morning of November 20, 1964, at the plaintiffs' office, and that at that time the defendant, on his own admission, was aware of the theft of the car but did not disclose it, this being a material fact which in ordinary circumstances would have entitled the plaintiffs to avoid the policy. He found that the plaintiffs did not acquire full knowledge of this fact until May 19, 1965, and that instead of immediately repudiating the policy they filed suit on the following day, claiming repayment on the ground of a fraudulent representation, and that it was not until some months later that they amended their plaint and for the first time claimed to be entitled to avoid the policy. He commented on the fact that the plaintiffs had not returned the premium, and concluded as follows:

“In these circumstances I see no escape from the conclusion that the plaintiffs have waived their right to repudiate the policy. There will accordingly be judgment for the defendant with costs.”

The plaintiffs have appealed to this court from the decision and the defendant has cross-appealed. Henceforth in this judgment I will refer to the plaintiff company as the appellant, and to the defendant as the respondent. The grounds of appeal are as follows:

“1. The learned judge having found that there was non-disclosure of a material fact sufficient to entitle the appellant to avoid the policy of insurance erred in holding that the appellant had waived its right to repudiate the policy.

2. The learned judge erred in failing to find that payment made on the representation and assurance of the respondent that he was not aware of the theft of the car at the time of the issue of the policy (which representation and assurance the judge has held to be false) was effected without full knowledge of the facts and could not therefore amount to waiver.

3. The learned judge erred in finding that the appellant had waived its right to repudiate the policy upon grounds which were not pleaded in support of the alleged waiver and which in any event did not amount to waiver.”

I will deal with the third ground first. As regards the allegation that the judge found that the appellant had waived its right to repudiate the policy on grounds that were not pleaded, the relevant paragraph of the defence is No. 7 which reads as follows:

“7. Further or in the alternative the plaintiff is estopped from relying on the alleged wrongful concealment of the alleged material fact or alternatively the plaintiff has waived any right . . . it had to repudiate the suit policy on the ground of such non-disclosure by reason of the facts, namely, that by their letter of November 27, 1964, the plaintiff repudiated the defendant’s said claim made under the suit policy on the ground of the non-disclosure alleged in para. 7A of the plaint but despite its previous objections and after full investigations regarding such objections the plaintiff deliberately recognized the suit policy as valid and binding on it and admittedly made payment thereunder sometime in May, 1965 before allegedly repudiating the suit policy in November, 1965 or thereabouts.”

The judge found that the appellant became possessed of full knowledge of the facts allegedly concealed on May 19, but instead of repudiating the policy filed suit on the following day affirming the policy, and that by not claiming the right to repudiate the policy until the amended plaint was filed more than five months later, it must be deemed to have waived the right to repudiate the policy. I have no doubt at all that this finding comes within para. 7 of the defence as pleaded, and in particular within the words:

“the plaintiff deliberately recognized the suit policy as valid and binding on it . . . before allegedly repudiating the suit policy in November, 1965 or thereabouts.”

As to whether the delay relied upon by the judge as constituting waiver did not amount to waiver, the argument of counsel for the appellant is that an amended plaint relates back to the date of the original plaint; the original plaint was filed on May 20, 1965, only one day after the date upon which the judge considered that the appellant became aware of the full material facts concealed by the respondent; and that accordingly the plaintiff repudiated the policy at the first possible opportunity so that the judge’s finding that the appellant affirmed the policy and did not

purport to repudiate it until the inordinate delay of five months is not justified. Counsel quoted English authority for his proposition that an amended claim relates back for all purposes to the date of the original claim, and some support for this view is to be found in the judgment of Sir Trevor Gould, J.A. in *Eastern Radio v. Patel* (1). Of the other judges in that appeal, Newbold, J.A. (as he then was) was of the contrary opinion, and the President, Sir Ronald Sinclair, said he preferred to leave the question open. I do not feel it necessary to express any definite opinion on the point in this case, because even if an amended claim does relate back to the date of the original claim for some purposes, such relation back cannot in my view operate so as to preclude a judge from taking notice of the date of the amendment, if such date is material to the issues for decision, as it undoubtedly was in this case.

Ground 2 of appeal was to the effect that the judge should have found that the payment made by the appellant to the respondent of his claim under the policy was effected without full knowledge of the facts and could not therefore amount to waiver. This ground was not pressed, no doubt because the judge did not rely on this payment as evidence of waiver.

Ground 1 was to the effect that the judge, having found that there was material non-disclosure on the part of the respondent, erred in holding that the appellant had waived its right to repudiate the policy. I propose to deal with this ground together with ground 2 (iv) of the respondent's cross-appeal. This latter ground supports the judge's findings but would take it further. It reads as follows:

“(iv) The learned judge should have found that Mr. MacDonald authorized the said payment with knowledge that the respondent was aware of the said theft before obtaining the said policy and that accordingly the appellant waived its right to avoid the said policy . . .”

In other words, counsel for the appellants contends that the grounds of waiver relied on by the judge, all of which occurred after payment of the respondent's claim by Mr. MacDonald on May 8, 1965, were insufficient to constitute waiver, whereas counsel for the respondent contends that when payment was made, the appellant was already fully aware that the respondent knew of the theft of his vehicle before the contract of insurance was effected, and in these circumstances was precluded from avoiding the policy subsequent to such payment.

To decide this issue, it is necessary to examine the evidence in some detail. The respondent's original policy expired on November 7, 1964. It was made clear to him by an employee of the appellant, Mr. Acharya, that the appellant would issue him with a policy valid from that date, but not until the respondent paid the premium. At about 7.30 a.m. on November 20, 1964, the respondent heard from his brother that the car had been stolen. At about 11 a.m. on the same day the respondent went to the offices of the appellant and handed a cheque for the full amount of the premium to Mr. Acharya who told him to return in the afternoon to collect the policy. The respondent returned at about 2 p.m. and was handed the policy. After examining the policy, the respondent said it was alright but he wanted to claim as the car had been stolen. Mr. Acharya

reported this to Mr. Hicks, who is in charge of the appellant's motor insurance department. This is what Mr. Hicks had to say about what happened next, according to the record, at p. 68:

"I asked him when he came to know that the vehicle was stolen and he replied that his brother had telephoned from Kampala early that morning.

I asked him where the vehicle had been stolen. He replied 'From Kampala outside the place where my brother was staying'. I asked him when it was stolen. He said 'In the early morning of the 20th' . . . I told him that in my opinion he was aware that the vehicle had been stolen before receiving the policy from the company. He said nothing."

Again, at p. 73:

"It is quite clear that the vehicle had been stolen at 6 a.m. and that the defendant had known of this before he had paid the cheque. I made up my mind before November 27, 1964, that there was concealment in my view."

Then he was asked:

"Have you subsequent to November 27, 1964, come to know of any facts which affected your decision on November 27, 1964?"

and he replied:

"No."

Mr. Hicks was accepted by the judge as a truthful witness. The respondent also admitted in evidence that he knew of the theft before he paid the cheque and received the policy. His explanation for not revealing this material fact until after he received the policy was that he considered the contract of insurance to have been completed on an earlier date, November 16 or 18, when he had a telephone conversation with Mr. Acharya, so that he was not on November 20 under any duty to disclose the material fact.

In view of the evidence set out above, and the fact that the judge found that the contract was not effected until the premium had been paid at about 11 a.m. on November 20, I cannot understand why the judge did not find, as in my opinion he ought to have found, that the appellant had knowledge, as early as the afternoon of November 20, that the respondent had concealed a material fact before the contract of insurance was effected. From that moment, or within a reasonable time thereafter, the appellant could have and in my opinion should have repudiated the policy. Instead, what happened? On November 27, 1964, the appellant through Mr. Hicks wrote to the respondent saying, inter alia, "I regret that I am not prepared to accept your claims as it is quite clear that this insurance cover was obtained after your vehicle was stolen"; in other words, the claim was rejected as not coming within the policy, but the policy itself was not repudiated. After a lapse of some fifty days, during which consideration was no doubt being

given to the matter, the respondent's cheque was cashed by the appellant, a fact consistent with affirming the policy and inconsistent with its repudiation. On May 8, 1965, the appellant's manager, Mr. MacDonald, interviewed the respondent, and accepted "on a balance of probabilities" his assurance that he had not known of the theft when he paid the premium although Mr. Hicks, who knew this was untrue, was present at the time; and Mr. MacDonald ordered payment to the respondent of the full amount of his claim. It is clear that this payment was made at a time when the appellant, through its employee Mr. Hicks, constructively had full knowledge of the material fact concealed by the respondent that he knew of the theft of his car before the contract of insurance came into effect. Money paid under these circumstances, with full knowledge on the part of the insurer, cannot be recovered (*Bilbie v. Lumley* (2)).

It follows from what I have set out above that in my opinion the appeal fails and the cross-appeal succeeds. I would support the judgment of the learned judge in the court below, though to some extent on different grounds. I would dismiss the appeal, with costs, and allow the cross-appeal, also with costs.

Sir Charles Newbold P: I have had the advantage of reading in draft the judgment of Law, J.A. and I agree with it. There will be an order in the terms proposed by him.

Sir Clement De Lestang VP: I agree and have nothing to add.

Appeal dismissed, with costs. Cross-appeal allowed, with costs.

For the appellant:

Macdougall & Wollen, Nairobi

R. N. Sampson

For the respondent:

Hoshang Shroff, Nairobi